



Maintain a secure financial accounting system

D2.TFA.CL7.03

Trainee Manual



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Introduction to trainee manual

To the Trainee

Congratulations on joining this course. This Trainee Manual is one part of a 'toolbox' which is a resource provided to trainees, trainers and assessors to help you become competent in various areas of your work.

The 'toolbox' consists of three elements:

- A Trainee Manual for you to read and study at home or in class
- A Trainer Guide with Power Point slides to help your Trainer explain the content of the training material and provide class activities to help with practice
- An Assessment Manual which provides your Assessor with oral and written questions and other assessment tasks to establish whether or not you have achieved competency.

The first thing you may notice is that this training program and the information you find in the Trainee Manual seems different to the textbooks you have used previously. This is because the method of instruction and examination is different. The method used is called Competency based training (CBT) and Competency based assessment (CBA). CBT and CBA is the training and assessment system chosen by ASEAN (Association of South-East Asian Nations) to train people to work in the tourism and hospitality industry throughout all the ASEAN member states.

What is the CBT and CBA system and why has it been adopted by ASEAN?

CBT is a way of training that concentrates on what a worker can do or is required to do at work. The aim is of the training is to enable trainees to perform tasks and duties at a standard expected by employers. CBT seeks to develop the skills, knowledge and attitudes (or recognise the ones the trainee already possesses) to achieve the required competency standard. ASEAN has adopted the CBT/CBA training system as it is able to produce the type of worker that industry is looking for and this therefore increases trainees' chances of obtaining employment.

CBA involves collecting evidence and making a judgement of the extent to which a worker can perform his/her duties at the required competency standard. Where a trainee can already demonstrate a degree of competency, either due to prior training or work experience, a process of 'Recognition of Prior Learning' (RPL) is available to trainees to recognise this. Please speak to your trainer about RPL if you think this applies to you.

What is a competency standard?

Competency standards are descriptions of the skills and knowledge required to perform a task or activity at the level of a required standard.

242 competency standards for the tourism and hospitality industries throughout the ASEAN region have been developed to cover all the knowledge, skills and attitudes required to work in the following occupational areas:

- Housekeeping
- Food Production
- Food and Beverage Service
- Front Office

- Travel Agencies
- Tour Operations.

All of these competency standards are available for you to look at. In fact you will find a summary of each one at the beginning of each Trainee Manual under the heading 'Unit Descriptor'. The unit descriptor describes the content of the unit you will be studying in the Trainee Manual and provides a table of contents which are divided up into 'Elements' and 'Performance Criteria'. An element is a description of one aspect of what has to be achieved in the workplace. The 'Performance Criteria' below each element details the level of performance that needs to be demonstrated to be declared competent.

There are other components of the competency standard:

- *Unit Title*: statement about what is to be done in the workplace
- *Unit Number*: unique number identifying the particular competency
- *Nominal hours*: number of classroom or practical hours usually needed to complete the competency. We call them 'nominal' hours because they can vary e.g. sometimes it will take an individual less time to complete a unit of competency because he/she has prior knowledge or work experience in that area.

The final heading you will see before you start reading the Trainee Manual is the 'Assessment Matrix'. Competency based assessment requires trainees to be assessed in at least 2 – 3 different ways, one of which must be practical. This section outlines three ways assessment can be carried out and includes work projects, written questions and oral questions. The matrix is designed to show you which performance criteria will be assessed and how they will be assessed. Your trainer and/or assessor may also use other assessment methods including 'Observation Checklist' and 'Third Party Statement'. An observation checklist is a way of recording how you perform at work and a third party statement is a statement by a supervisor or employer about the degree of competence they believe you have achieved. This can be based on observing your workplace performance, inspecting your work or gaining feedback from fellow workers.

Your trainer and/or assessor may use other methods to assess you such as:

- Journals
- Oral presentations
- Role plays
- Log books
- Group projects
- Practical demonstrations.

Remember your trainer is there to help you succeed and become competent. Please feel free to ask him or her for more explanation of what you have just read and of what is expected from you and best wishes for your future studies and future career in tourism and hospitality.

Unit descriptor

Maintain a secure financial accounting system

This unit deals with the skills and knowledge required to Maintain a secure financial accounting system in a range of settings within the travel industries workplace context.

Unit Code:

D2.TFA.CL7.03

Nominal Hours:

80

Element 1: Reconcile general ledger accounts

Performance Criteria

- 1.1 Reconcile general ledger to subsidiary ledgers
- 1.2 Resolve outstanding items on reconciliation
- 1.3 Reconcile bank accounts and clear suspense accounts
- 1.4 Obtain authorisation and/or approval for completed reconciliation

Element 2: Reconcile general ledger to related systems

Performance Criteria

- 2.1 Process related systems entries
- 2.2 Reconcile interfaces from related systems
- 2.3 Verify related systems to maintain integrity of the accounting systems

Element 3: Back-up systems

Performance Criteria

- 3.1 Follow system back-up schedules precisely
- 3.2 Verify back-ups

Element 4: Monitor and review integrity of financial systems

Performance Criteria

- 4.1 Establish processes to regularly monitor financial systems
- 4.2 Identify variations from organisational policies and procedures
- 4.3 Assess variations from organisational policies and procedures
- 4.4 Encourage user feedback

Element 5: Update systems for management requirements and regulations

Performance Criteria

- 5.1 Calculate estimates of costs associated with changes
- 5.2 Plan changes and updates to systems
- 5.3 Test systems' updates
- 5.4 Ensure changes and updates are comprehensive and maintain the integrity of accounting system
- 5.5 Apply changes
- 5.6 Circulate changed and/or updated relevant documentation

Assessment matrix

Showing mapping of Performance Criteria against Work Projects, Written Questions and Oral Questions

The Assessment Matrix indicates three of the most common assessment activities your Assessor may use to assess your understanding of the content of this manual and your performance - Work Projects, Written Questions and Oral Questions. It also indicates where you can find the subject content related to these assessment activities in the Trainee Manual (i.e. under which element or performance criteria). As explained in the Introduction, however, the assessors are free to choose which assessment activities are most suitable to best capture evidence of competency as they deem appropriate for individual students.

		Work Projects	Written Questions	Oral Questions
Element 1: Reconcile general ledger accounts				
1.1	Reconcile general ledger to subsidiary ledgers	1.1	1,2	1
1.2	Resolve outstanding items on reconciliation	1.2	3,4,5	2
1.3	Reconcile bank accounts and clear suspense accounts	1.3	6,7	3
1.4	Obtain authorisation and/or approval for completed reconciliation	1.4	8	4
Element 2: Reconcile general ledger to related systems				
2.1	Process related systems entries	2.1	9,10	5
2.2	Reconcile interfaces from related systems	2.2	11	6
2.3	Verify related systems to maintain integrity of the accounting systems	2.3	12,13	7
Element 3: Back-up systems				
3.1	Follow system back-up schedules precisely	3.1	14,15	8
3.2	Verify back-ups	3.2	16,17	9

		Work Projects	Written Questions	Oral Questions
Element 4: Monitor and review integrity of financial systems				
4.1	Establish processes to regularly monitor financial systems	4.1	18,19	10
4.2	Identify variations from organisational policies and procedures	4.2	20,21	11
4.3	Assess variations from organisational policies and procedures	4.3	22,23	12
4.4	Encourage user feedback	4.4	24	13
Element 5: Update systems for management requirements and regulations				
5.1	Calculate estimates of costs associated with changes	5.1	25	14
5.2	Plan changes and updates to systems	5.2	26	15
5.3	Test systems' updates	5.3	27	16
5.4	Ensure changes and updates are comprehensive and maintain the integrity of accounting system	5.4	28	17
5.5	Apply changes	5.5	29	18
5.6	Circulate changed and/or updated relevant documentation	5.6	30	19

Glossary

Term	Explanation
Accounting	The measurement, processing and communication of financial information
Audit	An official inspection of an individual's or organization's accounts
Asset	Anything tangible or intangible that is capable of being owned or controlled to produce value and that is held to have positive economic value
Bank reconciliation	Process performed by a company to ensure that the company's records are correct and that the bank's records are also correct
Compliance	The action of complying laws or regulations
Cost centre	Part of an organisation that does not produce direct profit and adds to the cost of running a company
Current asset	Any asset reasonably expected to be sold, consumed, or exhausted through the normal operations of a business within the current fiscal year or operating cycle
Current liability	A company's debts or obligations that are due within one year
Discrepancy	A lack of compatibility or similarity between two or more facts
Fixed asset	Assets and property that cannot easily be converted into cash
General journal	General location for the initial entry of certain transactions that do not occur in sufficient volumes to create specialised journals
General ledgers	A summary at the account level of every transaction that a business has engaged in.
IS	Information system
IT	Information technology

Term	Explanation
Journal	A record of financial transactions in order by date
Liquidity	A measure of the ability of a debtor to pay their debts as and when they fall due
Policy	Deliberate system of principles to guide decisions and achieve rational outcomes
POS	Point of sale
Procedure	A series of actions conducted in a certain order or manner
Ratios	Compares relationships between financial statement accounts
Reconciliation	Process of ensuring that two sets of records (usually the balances of two accounts) are in agreement
Software	Type of application software that records and processes accounting transactions within functional modules
Source document	Evidence of a transaction
Special journal	Used for types of transactions that contain special types of transactions that occur on a regular basis
Subsidiary ledgers	A group of individual accounts that support the total balance of a general ledger account
Substantiation	The process of corroborating or confirming financial information contained in reports or systems to ensure that the information is accurate and complete
Suspense account	An account in the general ledger that temporarily stores any transactions that cannot be clearly allocated to an account
Uniform system of accounts	A guide for the creation and classification of the five account categories reported in financial statements developed for the tourism and hospitality industry
Variation	Difference
Vendor	Supplier
Working capital	A measure of both a company's efficiency and its short-term financial health

Element 1:

Reconcile general ledger accounts

1.1 Reconcile general ledger to subsidiary ledgers

Introduction

The importance of having a secure financial accounting system is essential to ensure that a business can identify, monitor, analyse, understand and improve its financial performance.

The key aspects of any successful organisation is to:

- Earn a satisfactory profit for its owners
- Use its short term and long term assets efficiently
- Be able to pay its short term debts on time
- Maintain adequate cash stocks to meet requirements
- Provide a return on investment to the owners both in income and growth of the value of the investment.



To measure this success, all organisations record their financial activities and consolidate this information in reports that convey their financial achievements over arbitrary time periods of equal length.

Importance of secure financial accounting system

Accounting is often referred to as the “language of business” as it is accounting principles and terminology that provide the structure for the information system and reports that summarise financial activities.

Owners, managers and employees involved in decision making must appreciate this language so that reports on activity can be read, analysed and the information applied to enable decision making.

The tourism and travel industry encompasses a wide range of activities and types of organisations. Accounting systems must be designed to reflect the needs not only of the industry but also of individual establishments.

From a management perspective there is a need for you to identify the range of financial information and reports required to effectively monitor business performance at a day-to-day management level.



Having a secure financial accounting system is important for a business to:

- Provide information to management on which to make business decisions
- Track the performance of the operation against projections – so that remedial action can be taken where necessary
- Demonstrate business results to stakeholders such as shareholders, owners, partners, banks and various government agencies.

Management of accounting systems

In the workplace, the function of maintaining accounting systems may be:

- Allocated to the administration or accounts department
- Given to one nominated management-level member
- The sole province of the business owner-operator
- Integrated with other activities and systems.



Activity 1 – Identify persons responsible for managing accounting systems

For a tourism organisation you are required to identify the different persons and activities associated with the management of accounting systems.

Person	Financial activity or responsibility

General and special journals

Before we look at the task of reconciling general ledgers to subsidiary ledgers it is important to understand a few key terms.

When an accounting transaction occurs, it is first recorded in a journal. These transactions are recorded in chronological order, which makes the journals an excellent place in which to research accounting transactions by date.

General journal

A general journal is a general location for the initial entry of certain transactions that do not occur in sufficient volumes to create specialised journals. Examples of entries made into the general journal are asset sales, depreciation, interest income and interest expense.

Special journal

Special journals are used for types of transactions that contain special types of transactions that occur on a regular basis.

Examples of special journals include:

- Cash receipts
- Cash payments
- Sales
- Expenses.



Subsidiary and general ledgers

In essence a ledger is the summary of the journal transactions.

Subsidiary ledgers

A subsidiary ledger is a ledger designed for the storage of specific types of accounting transactions.

When a large amount of detailed information about a certain ledger account must be kept, a separate ledger called a subsidiary ledger is used.

A subsidiary ledger is a detailed record of transactions for an individual account.

A subsidiary ledger contains detail of transactions for an account, which are summarised at a scheduled time, whether a day, week or month, and the total is then posted to the general ledger.

Therefore, subsidiary ledgers serve as a reference for amounts posted to the general ledger.

The total of the balances in the subsidiary ledger should equal the balance of the related account in the general ledger.

This related account is called a control account. It is important to understand that the subsidiary ledger is not part of the general ledger.

It is not used in extracting the trial balance and does not need to conform to the rules of debit and credit.



General ledgers

The general ledger contains a summary at the account level of every transaction that a business has engaged in. This information comes from the various journals in aggregated form, in summary-level entries.

The general ledger is used to record financial transactions. These transactions result from everyday activities undertaken by a tourism organisation.

Managers record these transactions into separate financial accounts, depending on the transaction type.

Individual financial accounts are maintained in the general ledger so managers have one reference point for financial information and to understand the position of the business.



The information in the general ledger is then aggregated further into a trial balance, from which the financial statements are created.

Types of subsidiary ledger accounts

Each account in the chart of accounts is typically given a name and a unique number. Account numbers are often five or more digits in length with the digit pattern representing a division of the company, the business unit, the type of account, etc.

The first digit is commonly used to classify the account according to the accounting equation – asset, liability, equity, revenue and expenses etc. For example, if the first digit is a “1” it is an asset. If the first digit is a “5” it is an operating expense.

A gap between account numbers allows for insertion of accounts in the future. The following is a partial listing of a sample chart of accounts.

Current Assets (account numbers 10000 - 16999)

- 10400 Cash at Bank – Operation
- 10300 Cash at Bank – Payroll
- 10600 Petty Cash
- 12200 Accounts Receivable
- 12600 Provision for Doubtful Accounts
- 13200 Inventory
- 14200 Supplies
- 15400 Prepaid Insurance



Fixed Assets (account numbers 17000 - 18999)

- 17100 Freehold Land
- 17200 Leasehold Buildings
- 17400 Furniture, Fixtures and Equipment
- 17900 Motor Vehicles
- 18200 Accumulated Depreciation – Leasehold Buildings
- 18400 Accumulated Depreciation – Furniture, Fixtures and Equipment
- 18900 Accumulated Depreciation – Motor Vehicles

Current Liabilities (account numbers 20000 - 24999)

- 20200 Notes Payable
- 21100 Accounts Payable
- 22200 Wages Payable
- 23200 Interest Payable
- 24700 Unearned Revenues

Long-term Liabilities (account numbers 25000 - 26999)

- 25300 Mortgage Payable
- 25700 Bonds Payable
- Equity (account numbers 27000 - 29999)
- 27200 Ordinary Shares
- 27600 Retained Earnings

**Operating Revenues (account numbers 30000 - 39999)**

- 31012 Sales – Business Unit #A, Product AA
- 31023 Sales - Business Unit #A, Product BB
- 32016 Sales - Business Unit #B, Product CC
- 33112 Sales - Business Unit #C, Product DD

Cost of Goods Sold (account numbers 40000 - 49999)

- 41012 COGS - Business Unit #A, Product Line AA
- 41023 COGS - Business Unit #A, Product Line BB
- 42016 COGS - Business Unit #B, Product Line CC
- 43112 COGS - Business Unit #C, Product Line DD



Sales & Marketing Expenses (account numbers 50000 - 50999)

- 50200 Sales & Marketing Dept. Salaries
- 50250 Sales & Marketing Dept. Payroll Taxes
- 50300 Sales & Marketing Dept. Supplies
- 50800 Sales & Marketing Dept. Telephone

Finance Dept. Expenses (account numbers 59000 - 59999)

- 59600 Finance Dept. Salaries
- 59650 Finance Dept. Payroll Taxes
- 59800 Finance Dept. Supplies
- 59900 Finance Dept. Telephone

Other (account numbers 90000 - 99999)

- 91910 Gain on Sale of Assets
- 96230 Loss on Sale of Assets



Activity 2 – Identify tourism ledger accounts



For a tourism organisation of your choice you are required to identify the ledger accounts that they use as part of their accounting system.

Current Assets

Fixed Assets

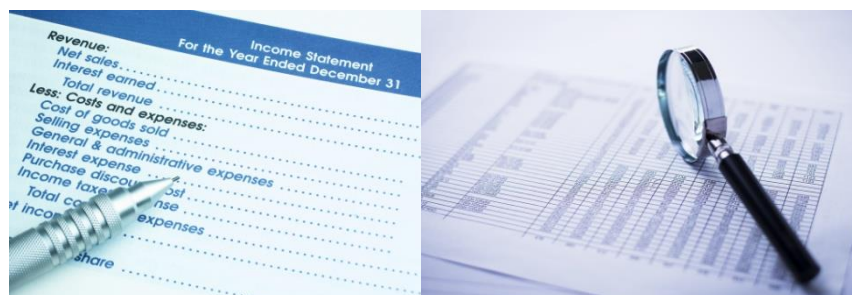
Current Liabilities

Long-term Liabilities

Operating Revenues

Cost of Goods Sold

Other operating expenses



Importance of reconciling general and subsidiary ledgers

Reconciling general ledger accounts with subsidiary accounts on a regular and scheduled basis is essential to maintaining accurate business records and an important aspect of a tourism organisation's internal control process.

It is essential that the monetary amounts in the subsidiary ledgers match the general ledger.

The purpose of the reconciliation is to:

- Identify ledger accounts that containing errors
- Identify, investigate and explain the errors
- Make appropriate make adjusting journal entries.

Whilst reconciliations should be scheduled and conducted on a regular basis, a company may reconcile certain general ledger accounts based on the perceived risk level that the account may contain an error.

This level of risk is related to the number of transactions that occur in the account as well as the complexity of transactions.

Reconciliation ensures accuracy of accounts and is also a progressive step for totalling accounts.

Reconcile general ledger to subsidiary ledgers may include:

- Conducting regular reconciliations
- Ensuring accuracy
- Adhering to organisational policies and procedures which may include:
 - Operations manuals
 - Internal control guidelines
 - Computer system documentation.



Reconciliation activities

To check the balances of the subsidiary ledgers and general ledger, reconciliation is performed.

There may be a standard document that needs to be completed for the reconciliation process.

Following is a template that may be used as part of the reconciliation process.

Balance per general ledger:		
<i>Add or subtract items in general ledger not in subsidiary ledger:</i>		
	Description of item 1	
	Description of item 2	
	Description of item 3	
<i>Add or subtract items in subsidiary ledger not in general ledger:</i>		
	Description of item 4	
	Description of item 5	
	Description of item 7	
Adjusted balance per general ledger		A
Balance per sub-ledger		B
Difference between general ledger and sub-ledger		C
Reconciling items (if any)		
Reconciling item 1 - description		
Reconciling item 2 - description		
Reconciling item 3 - description		
Total reconciling items (= Difference)		C

The balance in the control account and the total of the individual accounts in the subsidiary ledger are recorded on this document and any differences noted.

Following are the four steps associated with conducting a reconciliation.



Compare general ledger balance to the subsidiary balances

The first step is to look at both the general ledger and sub-ledger balances to identify if there are any differences.

Identify differences

Where differences exist it is important to understand the reason for the difference.

Differences may result from a number of reasons including but not limited to:

- Unusual transactions
- Non-recurring transactions
- Amounts posted to the wrong account
- Transactions posted twice
- Transposition errors.



Investigate reasons for the difference

After comparing the amounts in the general ledger and subsidiary ledgers and found differences, you must investigate reasons for them.

Reasons for the difference can contain the following:

- Items posted to general ledger, but not in subsidiary ledger
- Items posted to subsidiary ledgers, but not in general ledger
- Mistakes – as mentioned above.

Some of these items require adjustments to the general ledger while others need adjustments to the subsidiary ledger.

In the next section the process of identifying, understanding and rectifying outstanding items will be discussed in more detail.



Adjust general ledger or subsidiary ledgers

The next step is to make essential adjustments to the general ledger or to subsidiary ledgers based on the reconciliation to rectify any errors or differences.

To complete the reconciliation process, any adjustments that need to be made to subsidiary ledgers are recorded in the general journal and processed before the trial balance is prepared.

Documentation is filed according to workplace procedures.

This is necessary as it may be needed for the next reconciliation to ensure discrepancies were resolved and also provides evidence to management or internal auditors that internal control procedures are followed.

To identify the adjustments that need to be made, you can refer to the template above.

Compare adjusted balances

The last step is to compare the general ledger balance to subsidiary ledger balances again, after all the above mentioned necessary adjustments were made.

If reconciling items are resolved and the balances match, the reconciliation process is complete.

If a difference in the amounts still exists, continue to examine the subsidiary ledger and journals to recognize the problem and correct it.



Activity 3 – Identify 'balancing / reconciliation' activities

You are required to conduct research on the financial practices of a tourism organisation.

Please answer the following questions, providing evidence where possible to support your findings.



Identify the types of systems used to perform reconciliations.

Identify common areas of operation where reconciliations are required.

Describe in detail the process used to reconcile transactions to a balance.



Finalise reconciliations within designated timelines

There is always an imperative in the workplace for reconciliations to be finalised by a set time.

This is to enable relevant reports to be generated and other work to be done.

Timelines

Whatever the situation you discover when performing reconciliations including identifying discrepancies, outstanding entries, keying errors, arithmetical miscalculations etc., it is vital the reconciliation be completed by the required time.

Most organisations will set a specific time by which the reconciliation is expected to be finalised.



Where there are problems with the reconciliation, things can be flagged for future attention such as investigation, training, follow-up or re-entry activities. That said, it is important that the current reconciliation be brought to a close within the designated timelines reflecting accuracy in, and completion of, the relevant records.

This finalisation is necessary in order to produce the necessary internal and external financial reports.



Activity 4 – Identify timeline requirements

Describe the timelines that apply to finalising reconciliations.

1.2 Resolve outstanding items on reconciliation

Introduction

All discrepancies and outstanding items leading to an imbalance of general and subsidiary ledger amounts must be identified and investigated as soon as possible.

Not only do discrepancies mean that there are gaps in financial performance monitoring and reporting but more importantly can lead to great financial waste and loss.

Always remember that every discrepancy should be investigated, and a suitable resolution found.

Failing to identify and resolve these issues compromises the entire system and reduces its effectiveness in generating data that can be used for financial decision making or performance tracking.

The reality is that ignoring or turning a blind eye to one discrepancy makes it that much easier to ignore the next one, and then the next and so on. Where an on-going issue is detected, the person involved must be trained or the system or procedure must be addressed to fixing the problem.

This section will explore some of the common financial discrepancies and also strategies to resolve them in a timely manner, taking into account levels of authority.



Activities associated with resolving outstanding accounts

Resolve outstanding items will include:

- Understand common causes of discrepancies
- Seeking input from others in relation to information required to determine the issue
- Investigating source documents
- Undertaking investigations
- Making appropriate corrections to relevant accounts
- Ensuring the integrity of the system.

Possible actions to resolve discrepancies

You may be required to:

- Re-visit various source documents and verify their content, figures and calculations
- Double-check calculations
- Seek out additional information, data and documents
- Check figures with suppliers, clients and revenue centres
- Undertake a physical stock take
- Check and re-price stock-on-hand



- Verify and upgrade internal reporting and recording procedures, practices and documentation for incomes and expenditures
- Develop ancillary systems and reports to support emerging operational and financial requirements.

Once a reason for the initial discrepancy has been determined it must be reported back in order to maintain the integrity of a transparent and accountable record-keeping system.

It is sound practice to build a review of the practices involved in the maintenance of the financial records of the business into the overall annual review of an organisation

Common causes of discrepancies

Many of the discrepancies or errors that occur as transactions flow through the accounting cycle are addressed throughout this manual. They can be summarised by the three basic steps or phases of all accounting system:

- Inputs
- Processing
- Outputs.

It is important to note that action taken for errors and discrepancies should be document where appropriate. This provides management, other personnel, internal auditors and any other interested parties with explanations for transactions in the accounting system and evidence that financial information is valid and reliable.

Inputs

Examples of errors or discrepancies that can occur when transactions are entered into the accounting system are:

- Data entry
- Calculation mistakes
- Clerical errors
- Transposition of numbers and words
- Omitting transactions
- Processing the same transaction twice
- Omitting information from the journals
- Incomplete information received from other areas of operations.



Processing

Computerised accounting systems greatly reduce the amount of errors that can occur when transactions are posted from journals to ledger accounts or otherwise processed by the accounting system. Most errors or discrepancies arise from:

- Transactions classified incorrectly
- Journals posted to incorrect ledger accounts
- Omitting a journal
- Posting the same journal more than once



- Clerical errors
- Calculation errors
- Data entry mistakes.

Outputs

Reports produced from the financial system rely on the correct balances in the accounting system. Errors or discrepancies in reports are usually as a result of input or processing problems. However, the following may occur:

- Transposition errors
- Calculation mistakes
- Clerical errors
- Choosing incorrect parameters when creating reports in a computerised system
- Using an incorrect report format.



Wherever possible, errors or discrepancies should be resolved with a minimum of fuss and disruption to the normal course of business operations. It is always wise when informing supervisors or managers of a problem that you also have suggested solutions.

Workplace policies and procedures will always detail the process you must follow for reporting errors or discrepancies and the appropriate personnel to manage the particular issue. You must be aware of this in your workplace.



Activity 5 – Identify common discrepancies

You are to required to identify:

- Three common discrepancies that commonly appear in financial systems for a tourism organisation
- Methods to identify discrepancy
- Cause of the discrepancy
- Action taken to resolve discrepancy.



COMMON DISCREPANCY	METHOD TO IDENTIFY DISCREPANCY	CAUSE OF THE DISCREPANCY	ACTION TO RESOLVE DISCREPANCY

Involving designated persons

In many cases, whilst discrepancies can be identified in financial reports, it is often vital that key designated persons are consulted to not only confirm the discrepancies themselves but also to provide background information or reasons for the discrepancy or any action taken to date.

Whilst the nature of the discrepancy will dictate which persons may be contacted as part of the discrepancy resolution process, designated persons may include:

Discussing with appropriate colleagues

The appropriate colleague is initially the person who was responsible for raising the source document.

They are the best person able to clarify details and shed light on the issue.

Where this person is unable to help seek advice from:

- Supervisor
- Bank personnel
- Authorised department persons
- Line management
- Statutory body personnel.



Obtaining and checking source documents

External transactions are those that occur between the organisation and outside parties such as a tour operator and a client or a restaurant and their supplier of food items.

Every external transaction should be supported by a document that details the transaction.

This is called a source document:

- A source document is evidence of a transaction.

A source document serves two purposes.

It provides written evidence that a transaction exists and it is used by accounting personnel to support accounting records.

These are the documents on which other reports, statements and statistics are based.

They are the documents 'first raised' and are generated or validated by staff:

- For example, a receipt is evidence that you have paid an account. Obtaining the customer's signature on an internal docket is proof they have received the products and services listed
- Every financial transaction must have a corresponding source document as evidence that the transaction actually took place



- Examples of common source documents in tourism establishments are:
 - Invoices
 - Receipt books
 - Cash register audit tapes
 - Internal vouchers and promotional vouchers which may offer special deals and discounts
 - Daily takings sheets
 - Credit card imprints and vouchers
 - Time / wages sheets
 - Purchase orders
 - Receipts
 - Cheques
 - Deposit books
 - Cheque requisitions
 - Credit notes
 - Expense vouchers
 - Petty cash vouchers
 - Bank statements.



Activity 6 – Identify source documents

You are required to identify common source documents used in a tourism organisation showing evidence that transactions have taken place.

Source Document	What type of transaction does it record?

Checking irregularities with source documents

Examples of irregularities will depend on whether the document is for a sale we have made, or whether it relates to a purchase we have made. They may include:

Documents with the incorrect date

For example, it is common for documents at the start of a new year to be dated the previous year.

It is also common for people to make mistakes at the end of each month, being confused.

about how many days there are in the month. For instance, it is common to find documents dated 31st April etc.

Resolution of the irregularity involves altering the date to the correct one.

Lack of required signatures or actual documentation for goods purchased

The nature of the tourism where the need for quick responses by suppliers to our requests often means that orders are processed over the phone and there is insufficient documentation to support those orders.

It is not that we haven't received the goods, it's just that there is no supporting documentation to 'prove' we received it, and no authorising signature to validate the purchase.



Resolution involves raising supporting documentation 'after the event' in order to complete the required records, and obtaining the necessary signatures 'after the event'.

An internal sale has been made but the customer has left before the charge can be processed

Even with electronic systems there are instances where a customer leaves before the charge has been posted to their account.

Where the guest has paid by credit card, resolution usually involves adding the charges to their account after their departure, without their signature. Note, however, that the customer also has the right to query and challenge these charges but where they are definitely legitimate charges they are usually paid without question.

Arithmetic errors

These are relatively common despite the use of pre-programmed numbers of registers.

Resolution involves substituting the proper figure and re-calculating the entire document ensuring that flow-on calculations such as discounts, taxes, rebates and commissions etc. so that the correct total is obtained.

Use of incorrect figures when calculating the document

In some cases a supplier may have presented us with a document that charges us the wrong price for a given item or service.

In other cases, we may have failed to provide a nominated discount to a regular customer, or charged them for 3 persons instead of 2 persons.

Resolution involves inserting the correct figure and re-working the document.

Where necessary, a refund must be issued to customers who have been over-charged.

Individual organisational policy will determine whether or not an account is sent out for items etc. that have been under-charged and for what amount.

Incomplete documentation

A very common irregularity is for source documentation to be forwarded to you in an incomplete form.

This may mean that a signature is missing but is more likely to mean that essential pieces of information such as quantities, prices, full and accurate product descriptions and department names are absent from the document.

Resolution involves visiting the department or talking to the person involved to complete the missing information, or to clarify the ambiguous areas.

Illegible documents

In some cases the documents that you are required to deal with can be accurate, complete and authorised as required, but illegible!

This can increase when people are from non-English speaking backgrounds, but it is relatively common amongst all staff, and is especially the case where they are under pressure or are writing out these documents at the end of a shift.



Resolution is to speak to those involved and ask them what they meant. As many will have gone home when you receive their paperwork, use of the telephone is common in these situations.

Checking journal entries

		1 052	0	0	0
		18 995	51 778	51 778	0
		11 052	0	0	0
10		145	1603	1 603	0
2		42	17182	17 182	0
8		0	2120	2 120	0
0	0,0	0	2188	2 188	0
9	1,7	10	5273	5 273	0
0	0,0	28032	0	0	0
0	0,0	56286	0	0	0
0	0,0	2	75872	90	90
0	0,4	11	10768	2008	2 008
0	0,8	2	169416	16225	16 225
0	0,0	2	21499	2186	2 186
0	0,0	2	22137	0	0
0	1,2	2	258399	0	0
0	0,0	1 188	1188	0	0
0	0,0	0	300	0	0

An understanding of the journals commonly used will assist in checking transactions are recorded correctly.

A journal is any internal book or record-keeping system that records entries and figures of daily financial transactions, in chronological order.

This provides a complete, chronological history of all transactions and lists the debit and credits for each transaction, amongst other details.

Journals reflect the inflows into and the outflows out of the business.

In addition, it makes the process for checking transactions straightforward and efficient because the debit and credit information is in one place. If transactions were entered directly into ledger accounts, details would be repeated and it would be necessary to search through many accounts to find the other side of a transaction to ensure the debits and credits had been allocated correctly.

At the end of an accounting period, the sums of all transactions are entered from the journals into the appropriate ledger accounts following the debit and credit rules. This is called posting to the ledger.

Cross-check source documentation with entered transaction to ensure matching



Accuracy is a vital element in maintaining financial records so it is essential to cross-check source documentation with all entries to ensure there is a match between figures on the documentation and the postings that have been made.

It must be understood that an error in entries will be difficult to detect where the same error is perpetuated in the double-entry system.

For example, an incorrect ('transposed') debit entry of \$45.00 – instead of, say, \$54.00 – matched with a \$45.00 credit entry will be difficult to find and will not 'stand out'.

Checking accuracy and completeness of transactions

Now that you have examined the process for entering and processing transactions and the underlying journals and ledger accounts that they can be allocated to, you are able to check that transactions have been processed according to workplace policies and procedures. This requires that:

- Transactions are recorded accurately in respective journals
- Transactions are transferred from journals into ledger accounts correctly
- Adjustments are made to transactions that do not relate to the current accounting period.



Checking accuracy of transactions

Special journals



Checking that transactions have been entered into special journals and then ledger accounts according to workplace policies is relatively straightforward when special journals are used.

Using cash as a starting point, transactions that feature cash are entered into either the cash payments or receipts journal and those sales or purchases where no cash has changed hands yet are entered into either the sales or purchases journal.

When entering details from a source document into the journals, it will become obvious if the incorrect journal is chosen as the ledger account headings that are needed will not be in the journal.

For example, if personnel processing a cash receipt attempt to enter the transaction in the cash payments journal, they would not find a column corresponding to sales but to expenses.

This would alert them to the error before any amounts are entered and posted to ledger accounts. In this way, the use of special journals provides a check in itself. This applies to both manual and computerised accounting systems.

Also, ledger accounts will contain a small number of entries because it is only the totals for an accounting period or other period of time that are entered into the appropriate debit and credit columns. It is not difficult to check that the correct totals have been entered from the journals if needed.

General journal

The general journal contains external transactions that occur less frequently in the business. Also, internal transactions that rely on information entered into special journals and the ledger accounts are processed in the general journal.

It is likely that general journal entries are checked more often than special journals as there is more risk of error because:

- The general journal offers no internal checking system like the special journals other than a debit and credit entry are required
- The monetary amounts of the transactions can be significant
- The transactions to be entered in the general journal can be quite complex and often require a more advanced knowledge of accounting principles and concepts than those entered into special journals.

To check if these transactions are entered correctly into the accounting system, the general journal entry is usually compared to source documentation. For the example above, this involves ensuring that the value and the description of the asset are correct and assigned to the appropriate ledger account.

The journal may also detail the name of the supplier which would also be verified. Workplace documentation will often provide guidelines on the appropriate ledger accounts to use for the different types of transactions.

Following from this it is usually clear if the debit and credit rules have been applied correctly.

Checking completeness of transactions

Completeness is an accounting term given to the process of ensuring that the accounting system includes all the information as expected. In this case, completeness refers to checking that all transactions that relate to the current reporting period are included in financial reports.

Tips to assist with accuracy and correctness

Techniques to assist in ensuring accuracy and correctness include:

- Actively paying attention to what you are doing – focusing on the work and not allowing yourself to be distracted
- Visually noting figures and then verbally stating them – even if this is just to yourself and not 'out loud'
- Doing regular and periodic checks – this involves making several entries and then stopping to check the batch you have just posted rather than doing no checks or attempting to do a check at the end of all the entries
- Double-checking totals – where individual entries have to be made, it is useful to check the totals on the source documents with the totals of the entries posted on an on-going basis



- One person makes the entries and another person cross-check or verifies them – this is a good idea but not often a practicable one. Where the same person enters and checks, there is a strong possibility they will repeat the initial mistake over and over again before they finally identify the error
- Take regular breaks or change the nature of tasks to help prevent losing focus and ‘glazing over’.



Activity 7 – Research common tourism transactions

You are required to collect evidence of financial records for a tourism organisation of your choice.

The records must show evidence of common transactions showing ledger accounts these transactions are allocated to.

You must also provide evidence of source documents commonly used in tourism establishments, as identified in Activity 6.



1.3 Reconcile bank accounts and clear suspense accounts

Introduction

Before the trial balance is prepared, there is one other balance that is important to reconcile – the cash at bank ledger account. This balance is verified every accounting period or as required by comparing it to the bank balance as reported by the bank. This is called the bank reconciliation.

In the previous sections we have explored the need and steps associated with ensuring ledgers are reconciled, including the need to follow up on outstanding accounts due to discrepancies.

In this section we will explore the actions associated with performing bank reconciliations.

Perform bank reconciliations

A bank reconciliation checks that the amount in the ledger account cash at bank in the accounting information system agrees to the balance in the bank account.

This is important for all organisations but especially tourism establishments where there are very often large volumes of cash handled.

This represents a significant asset to the organisation that must be kept safe. Using a bank account greatly reduces the amount of cash held on the premises and enables some transactions to be conducted in a more effective manner. For example, payments can be made directly between bank accounts rather than carrying cash from one location to another.

At the end of each month or other time frame as detailed by workplace procedures a bank statement detailing the activity that has taken place in the bank account is either sent to the business or accessed from secure on-line banking arrangements. The bank statement shows the cash balance at the beginning of the month or other time, all deposits and withdrawals and the final cash balance at the end of the chosen reporting period.

It can be a little confusing when viewing a bank statement for the first time as the statement also uses the term debits and credits as column headings similar to a ledger account. This is because the bank statement is actually the bank's ledger account that they keep for each business or individual. The debits and credits represent transactions from the bank's perspective whereas the ledger account from the accounting system is from the businesses perspective. When there is a positive cash balance or cash in the bank account, this is an asset and therefore a debit balance in the ledger account in the accounting system. For the bank, this is a liability (the bank "owe" the cash to the business) so there will be a credit balance on the bank statement.



As cash transactions occur during the accounting period, the bank account balance and the accounting information system are updated with the movement of cash. Theoretically at least, the bank statement should reflect the same transactions as the cash receipts and the cash payments journals. The balance in the bank account and the ledger account should be the same. However, in practice, at any particular point in time, this rarely occurs.

Some of the possible reasons for this difference may be:

- Timing differences – there may be a delay in a payment to or from the bank account that is already recorded in the accounting system
- Errors – a clerical error may be made in recording an amount in either the cash payments or cash receipts journal
- Dishonoured payment – a guest or customer's payment is recorded in the accounting system but not honoured or paid by the guest's bank
- Other differences – these can occur due to a delay in recording deposits or withdrawals that originate in the bank statement.

Steps to prepare a bank reconciliation

The steps to prepare a bank reconciliation are:

- 1) Gather the information as follows:
 - The last bank reconciliation statement that was prepared
 - Cash receipts and cash payments journal or other record of cash movements for the period to be reconciled
 - The opening balance of the Cash ledger account from the accounting system
 - The bank statement covering the period to be reconciled
 - Standard bank reconciliation statement used in your workplace
- 2) Enter the balance shown on the bank statement and the balance from the ledger account into the bank reconciliation statement
- 3) Check that previous outstanding items have been recorded on the bank statement
- 4) Add to or subtract from the bank balance the items that are in the ledger account but not on the bank statement. This may include:
 - Deposits not received by the bank yet:
 - Outstanding cheques
 - Calculate the adjusted bank balance
- 5) After checking that details are correct, adjust the ledger account for any items that are on the bank statement by recording the details in the general journal. These include:
 - Cash receipts for direct deposits
 - Cash payments made as electronic transfers
 - Bank fees and charges
- 6) Compare the adjusted bank balance and the adjusted ledger account balance and they should now agree
- 7) Complete the bank reconciliation statement and file according to workplace procedures





After the ledger account cash at bank has been verified and the control accounts reconciled to subsidiary ledgers, the unadjusted trial balance is prepared and adjusting entries completed.

A final trial balance is then produced that verifies that debits and credits equal after all adjusting entries are posted. Senior accounting personnel or management may review the trial balance to check balances for the last time.

Once it is confirmed that the adjusted trial balance is correct, this trial balance can be used to prepare financial reports.



Activity 8 – Identify importance of preparing a bank reconciliation

Describe the importance of preparing a bank reconciliation.



Activity 9 – Identify bank reconciliation tools

You are required to collect bank reconciliation templates which you can use to perform bank reconciliations.



Activity 10 – Perform a bank reconciliation

You are required to perform or explain how to undertake a bank reconciliation.

1.4 Obtain authorisation and/or approval for completed reconciliation

Introduction



In Sections 1.1 - 1.3 the process of understanding and performing ledger and bank account reconciliations have been identified.

Overriding these procedures it the need for the correct people, with the correct authorisation performing these tasks.

Given that this manual, not only focuses on performing reconciliations but also a wide range of financial accounting activities we will explore the importance and need for staff to have the necessary approval or authorisation to perform any financial accounting activity required of them.

Importance of separating areas of financial responsibility



To maintain an effective internal control system, management implement processes and procedures to safeguard the assets of the business and ensure the reliability of accounting information, including reconciliations.

Financial controls are designed to ensure that financial information is valid, reliable, complete and accurate.

Separating the responsibility for related transactions, recording and controlling information about assets, and performing reconciliations, all form part of these controls.

Consider cash received at the end of a shift. Actual cash is forwarded to the cashier or other responsible person who deposits the amount in the bank. Documentation summarising the cash received is sent to the accounting department and the cash receipts journal updated. At the end of an accounting period or other time, the ledger account cash at bank is updated.

Other accounting personnel check that the balance deposited in the bank account is the same as the balance in the ledger account. In this way the third employee checks the balances prepared by the other personnel involved in this process. This gives management assurance that the balance reported is accurate, complete and reliable.

Obtaining authorisation or approval

Obtain authorisation or approval may include:

- Acquiring sign-off by appropriate personnel such as:
 - Accounting personnel
 - Business unit or departmental managers
- Adhering to organisational policies and procedures.



Activity 11 – Identify others who record transactions or undertake reconciling activities

You are required to identify the different persons inside a tourism organisation who either record or reconcile transactions.

DEPARTMENT	POSITION / PERSON	ACTIVITIES THEY PERFORM (RECORD / BALANCE)	EXAMPLES OF TRANSACTIONS RECORDED / BALANCED



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

1.1 Please complete the following activities relating to this Performance Criteria:

- Activities 1,2,3,4

1.2 Please complete the following activities relating to this Performance Criteria:

- Activities 5,6,7

1.3 Please complete the following activities relating to this Performance Criteria:

- Activities 8,9,10

1.4 Please complete the following activities relating to this Performance Criteria:

- Activity 11
-

Summary

Reconcile general ledger accounts

Reconcile general ledger to subsidiary ledgers

- Importance of secure financial accounting system
- Management of accounting systems
- General and special journals
- Subsidiary and general ledgers
- Types of subsidiary ledger accounts
- Importance of reconciling general and subsidiary ledgers
- Reconciliation activities
- Finalise reconciliations within designated timelines.

Resolve outstanding items on reconciliation

- Activities associated with resolving outstanding accounts
- Possible actions to resolve discrepancies
- Common causes of discrepancies
- Involving designated persons
- Obtaining and checking source documents
- Checking irregularities with source documents
- Checking journal entries
- Cross-check source documentation with entered transaction to ensure matching
- Checking accuracy and completeness of transactions.

Reconcile bank accounts and clear suspense accounts

- Perform bank reconciliations
- Steps to prepare a bank reconciliation.

Obtain authorisation and/or approval for completed reconciliation

- Importance of separating areas of financial responsibility
- Obtaining authorisation or approval.

Element 2: Reconcile general ledger to related systems

2.1 Process related systems entries

Introduction

Now that general ledgers have been balanced with subsidiary ledgers, it is important that this information is processed to other financial systems that make up an accounting system.

Before we look at the activities associated with this type of reconciliation it is important to identify types of related systems.

Suspense accounts

A suspense account is an account in the general ledger that temporarily stores any transactions that cannot be clearly allocated to an account.

It is wise for all tourism organisations to have a suspense account, rather than not recording transactions at all or placing them in the wrong account, both of which actions will result in inaccurate financial results.

Transactions in the suspense account will still appear in the general ledger, giving the company an accurate indication of how much money it has.

Where suspense accounts are used, it is essential that accounting personnel:

- Clarify the type of transaction
- Relocate the transaction out of the suspense account and into the correct account.



It is important that items contained with suspense accounts are regularly reviewed, with the purpose of shifting transactions into their appropriate accounts as soon as possible.

This is essential otherwise not only will the financial amount in the account grow over time, but background information leading to the uncertainty of the account becoming harder to harder and understand, including the identification of documentation explaining why transactions were initially placed in the account.

All establishments must constantly monitor the balance in the suspense account with ongoing investigations taking place. Further, it is useful to track which transactions are repeatedly placed into the suspense account, so that systems can be enhanced to make it easier to properly identify these items in the future, thereby keeping them out of the suspense account.

It should be the aim of any organisation to ensure that all suspense account items be resolved and placed in correct accounts at the end of every financial period.



Activity 12 – Identify suspense account items

You are required to identify situations where transactions may be dedicated to suspense accounts rather than directly into ledger accounts.

Cost centre accounts

A cost centre is a part of an organisation that does not produce direct profit and adds to the cost of running a company. A cost centre is often a department within a company, however it is important to note that there may be more than one cost centre in a department. In addition cost centres may be based around geographical locations or key functions or activities.

Types of cost centres for a tourism organisation may include, but not limited to:

- Human Resources
- Maintenance
- IT department
- Travel sales
- Marketing
- Help desks
- Customer services
- Corporate vs FIT clients
- Contact centres
- Tours.



The manager and employees of a cost centre are responsible for its costs, therefore making it important that the correct costs are allocated to the correct cost centre.

As an example, one of the largest costs for a tourism organisation is often labour. It is essential that the overall labour cost is allocated to its relevant cost centre.



Activity 13 – Identify cost centres

You are required to identify cost centres that may be used for a tourism organisation.

Identify the types of costs that would be allocated to each cost centre.



COST CENTRE	TYPES OF COSTS FOR EACH COST CENTRE

Investments register

If investments are a large part of an organisation, a register of these investments will be recorded. Given that these are not a main aspect of tourism activities within an organisation, this financial information will not be accessed on a regular basis, however must be recognised.

Accounting software systems

Each organisation will use some form of accounting software to record financial information and produce financial reports.

It is essential that information recorded in these software systems reflect actual transactions.

Examples of accounting software packages include, but certainly not unlimited to:

- FreshBooks
- QuickBooks Online
- Sage One
- ZohoBooks
- Xero
- AccountEdge
- Wave Accounting
- Less Accounting
- WorkingPoint
- Free Agent
- Yendo.



Activity 14 – Identify accounting software systems

You are required to identify four different types of accounting software systems that can be implemented and used to manage financial information for a tourism organisation.

NAME OF SOFTWARE SYSTEM	KEY FUNCTIONS

Financial data recording systems

In addition to accounting software packages, tourism companies may use a range of sales and cost related hardware and software that records transactions.

This can include:

- Cash registers
- Point of sale (POS) systems
- Electronic time-keeping for employee shifts that records the number of hours worked.



Activity 15 – Identify sales/expense recording systems

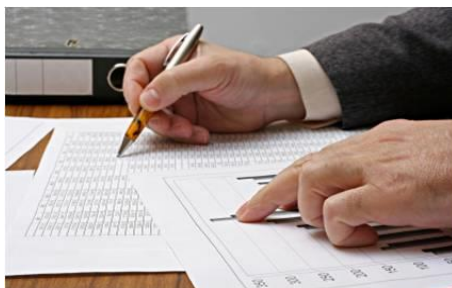
You are required to identify two different types of sales/cost recording system that can be implemented and used in a tourism organisation.

NAME OF SYSTEM	PURPOSE (SALES/COST)	INFORMATION RECORDED



2.2 Reconcile interfaces from related systems

Introduction



Not only is it important that transactions are reconciled between ledgers that they also reflect and reconcile with all other financial systems used by a tourism establishment.

As mentioned, it is vital that transactions recorded in any aspect of an organisation are an accurate and true reflection of what has actually transpired.

Not only are there legal consequences associated with false recording of information, given that future business strategies are based on financial success and effective resource utilisation, if information is false, it may have detrimental consequences for an organisation.

In most financial manuals the process of using Trial Balance information, which in essence is the summary of all general ledger accounts, with a balance between all debit and credit items, the process of using this information for financial statements will be explained.

In this manual, the focus is on ensuring that financial data verifies with other systems.

When reconciling interfaces from other systems this process must:

- Adhere to organisational policies and procedures
- Ensure accuracy.

Importance of a general ledger reconciliation

The general ledger reconciliation process is undertaken by tourism financial teams to verify the integrity of account balances on the company's general ledger of accounts.

The reconciliation process involves:

- Comparing the general ledger account balances with other independent systems, statements, and reports, to verify that the balances are correct and accurate
- Investigating any discrepancies that are identified
- Taking appropriate corrective actions to resolve these discrepancies.



General Ledger Reconciliation is a key portion of the financial close process that is used to verify a company's financial information before preparing and distributing financial information and reports.

As can be seen the process is similar to activities performed in Section 1 of this manual, but looks at the system from a wider perspective, taking into all systems that can impact on financial information.

General ledger reconciliation activities

The activities associated with the general ledger reconciliation process are carried out on a regular basis at the conclusion of a financial reporting period.

Financial staff carefully review each general ledger account to confirm and verify that the balance of each item is accurate and correct.

This process involves comparing the general ledger account balance to information contained in:

- Internal systems
- Independent systems
- Sources of financial data relating to the company activities, such as bank statements and credit card statements.



Like with actions mentioned in Section 1 of this manual, where mistakes and inaccurate discrepancies are found, they must be investigated with appropriate corrective action taken.

The research and investigation process is documented together with the corrective action, and all of this information is stored for audit purposes.

The general ledger reconciliation process is a necessary step that must be completed before a company can issue financial statements.



Activity 16 – Explain importance of reconciliation with related system

You are required to identify why it is important to reconcile general ledger with related systems.

2.3 Verify related systems to maintain integrity of the accounting systems

Introduction

All financial reports and other financial transactions should be verified for accuracy and completeness and maintains the integrity of the accounting systems.

Various methods may be employed to determine the accuracy and integrity of financial information and the systems used to produce it.

These methods are detailed below.

Importance of verifying accounting system

An important aspect of this process is to reconcile, verify and substantiate financial information produced.

This is a key requirement in the establishment of an internal control system.

As part of this process management, in co-operation with the finance department, a tourism organisation can:

- Assign accountability and procedures for preparation of financial recording and documentation
- Ensure information transmitted to, contained in, and reported from the financial systems is accurate, complete and recorded in a timely manner
- Ensure financial information can be relied upon for making financial and administrative decisions
- Identify and quickly report fraud and theft
- Review financial information on a regular and timely basis
- Use reports to verify revenue and expenditure transactions, payroll transactions, and other financial transactions for accuracy and completeness
- Reconcile balance sheet accounts on a regular basis. Balance sheet account reconciliations must have both a preparer and approver review to ensure the transactions are reconciled and appropriate for the account
- Investigate and correct any inaccuracies or incomplete financial information identified during the reconciliation or verification process in a timely manner
- Consider materiality, compliance risk, transaction detail volume, knowledge, and experience of personnel performing analyses, in the design and implementation of account reconciliations and the subsequent review process.



Ratio of gross dividends to	Net income	Maximum
Cash flow (2)	(3)	return (4)
28.9	34.8	25.2
30.5	37.5	34.1
31.3	40.2	28.1
32.0	41.0	38.4
32.5	38.4	35.1

Reconciliation

As mentioned to date in this manual, the process of reconciliation involves comparing information that exists in two ledgers, systems, departments or locations.

It focuses on identifying and investigation differences and making corrections so that the information is accurate, complete and consistent in both ledgers, systems, departments or locations.

Review

Quite often this is performed as part of the reconciliation process however can be performed independently.

When performing a review, whilst it is important to look at all aspects of business operation and cover a wide range and types of transactions, it is important to focus on unusual activity or balances.

The review process includes, but not limited to reviewing:

- Unusual fluctuations in balances or activity
- Activity for reasonableness.



Comparison

When undertaking comparison, it is important to compare unusual activity or balances by with I data for different periods.

Performing a comparison can include:

- Compare beginning balances for current period to ending balances from prior period.
- Compare budgeted revenue and expenditures with actual activity for the period.
- Compare current period activity with prior period activity.
- Compare current year activity and balances with same-period last year.

Analysis

This process involves evaluating and interpreting financial information. Analysis includes breaking the information to determine how the final results were reached.

Types of analysis that may be useful in the review would include:

- Compute variances.
- Perform trend analysis
- Monitor key ratios
- Collecting statistical data
- Investigate unusual and significant variances to budget or prior periods.

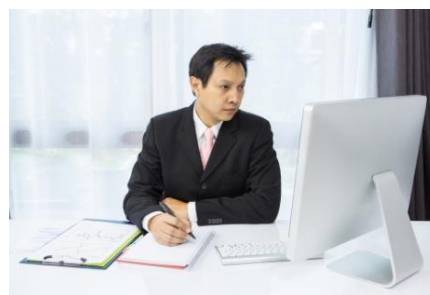


Substantiation

The process of corroborating or confirming financial information contained in reports or systems to ensure that the information is accurate and complete.

Types of substantiation that may be useful in the review would include:

- Validate calculations
- Compare activity and balances in general ledger to source documents when differences or unexpected results are noted.



Activity 17 – Explain verification methods

You are required to identify activities you can perform for these financial system verification methods.

VERIFICATION METHOD	ACTIVITIES
Reconciliation	
Review	
Comparison	
Analysis	
Substantiation	

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

2.1 Please complete the following activities relating to this Performance Criteria:

- Activities 12,13,14,15

2.2 Please complete the following activities relating to this Performance Criteria:

- Activity 16

2.3 Please complete the following activities relating to this Performance Criteria:

- Activity 17
-

Summary

Reconcile general ledger to related systems

Process related systems entries

- Suspense accounts
- Cost centre accounts
- Investments register
- Accounting software systems
- Financial data recording systems.

Reconcile interfaces from related systems

- Importance of a general ledger reconciliation
- General ledger reconciliation activities.

Verify related systems to maintain integrity of the accounting systems

- Importance of verifying accounting system
- Reconciliation
- Review
- Comparison
- Analysis
- Substantiation.

Element 3: Back-up systems

3.1 Follow system back-up schedules precisely

3.2 Verify back-ups

Introduction

Like with any piece of business information, it is essential that financial information is backed up in a manner that is secure yet easily retrievable.

In many cases, the loss of data may be detrimental to an organisation.

In this section we will explore the importance of storing and backing up accounting data.

In Section 2.1 the various types of accounting software have been identified. Some of these software systems will include options for online storage.



Establishing accounting data management

Accounting Data Management is the professional discipline and organisational function of managing and maintaining full and accurate data accounting data and financial and records to meet operational business needs and accountability requirements.

These guidelines aim to ensure financial data is appropriately stored in the electronic filing system according to the organisational classification system. The official title given to all financial data and records should be classified using the organisational classification system and should enable a summary or concise statement of the contents of the file to be made.

Using the classification system and limiting the use of acronyms, abbreviations and punctuation will subsequently aid in the successful retrieval of all files when requested

These are policies to ensure that XYZ creates and maintains full and accurate records as evidence of its business activities and transactions.

Key outcomes of an accounting data management system

- All financial data will be managed in accordance with set organisational procedures
- All staff understand what constitutes official financial data and records
- Financial activities are to be documented in the form of records
- Any financial data or record can be retrieved easily when requested
- All financial data must be stored safely and securely
- Archived financial data will be managed in accordance with legislative requirements
- Intellectual Property is captured, maintained and protected.





Activity 18 – Identify importance of accounting data management systems

Explain the importance of having an accounting data management system in place.

Types of accounting data management policies and procedures

All financial data entered into any accounting software system must be entered in accordance with organisational policies and procedures.

These policies and procedures may relate to:

- Administration requirements
- Authorised access
- Passwords
- Internal accounting systems
- Authorised use of equipment
- Security
- Confidentiality
- Timing and frequency requirements.



Activity 19 – Identify accounting policies and procedures

What are examples of accounting policies and procedures you would have in place to ensure staff store data correctly?

Policies	
Procedures	

Considerations when selecting an accounting storage and back-up systems

There are a various options to consider when choosing a method to store and back up accounting data. While backing up data is imperative, the most suitable method will depend on a number of factors including but not limited to:

Amount of accounting data to backed up

- Cost
- Accessibility
- Ease of performing regular backups.



Storing accounting data

It takes lots of time, money and effort to enter accounting data and that information must be safeguarded.

If accounting data is lost it is highly unlikely that it can all be remembered, or that it will all be able to be reproduced. In addition, financial information should not be in a position that enables it to be public knowledge, until intended.

With this in mind, it is easy to understand that appropriate storage is critical.

Methods to store accounting data

Storage of accounting data may include:

Storage in accounting software

This is the most common method as financial data is stored in formats that are designed for easy manipulation and viewing.

Filing of source and paper-based financial information

An on-going task when maintaining financial records is to file all source documents in the correct location and in accordance with any specific enterprise requirements.

Keeping documents secure will require all relevant paperwork to be filed in some way that facilitates easy access and retrieval of documents.

A common method of keeping these documents is in a lockable filing cabinets, arranged in some generic order, in-line with the naming of the journals used or by similar classifications such as 'Invoices', 'Credit Notes' and then by either 'alphabetical' or 'date' order.

Books such as Order/Purchase Books will be kept intact, as they contain a duplicate or triplicate of the actual order and simply stored on a shelf, in a carton or in a drawer with the relevant dates written large on the outside cover.



The task of filing these documents may be delegated to a junior staff member but it must be remembered that this filing process is an important function and needs to be completed as accurately as posting the actual transactions.

Storage in directories and sub-directories

These may be allocated random names but most large establishments have specified policies and procedures regarding this.

Storage on hard drives

This is the most common form of saving and storing financial data on the computer's hard drive.

Storage on networked computers

Some properties back-up data on other hard drives within the network. This means individual PC's or terminals will send their data to a centralised point, via a networked application, for storage there.



Appropriate filing and storage of hard copies of computer-generated documents

In some cases a hard copy of data may be taken and filed or archived for future use.

While hard copies cannot be readily amended they at least provide a source document for future reference and use.

Hard copies may not be very 'high tech' but it is amazing how valuable they become when the hard drive crashes, or there is a power failure and the data from the hard drive is unavailable.

Perform regular backups of accounting data

Despite our best efforts, technology will still let us down.

One good way of minimising the adverse impacts of the computer crashing is to do regular backups of data.

A back-up is a second copy made to protect your accounting information against accidental loss or damage. Many establishments back-up their records and files on a daily basis.

Doing back-up means you can restore lost financial information quickly and with confidence so that you return to the point where you were before the loss occurred.

The loss of information may be caused by human error, sabotage, technical failure, theft or even a major incident such as a fire in the premises.

Back-up copies of all important accounting programs and data should always be maintained. It must become standard operating procedure to back-up files, including the hard drive.

The higher the value of the accounting data, the more important it is to the organisation, therefore the more comprehensive the back-up system should be.

Most tourism organisations will also have standard protocols in place to backup files and thus safeguard valuable information from loss. For example payroll data is valuable information.

Therefore it is essential that any establishment-wide practices regarding backing up of financial information must be strictly adhered to.

Other security considerations include:

- Don't leave computer screens turned on so they may be observed by passers-by and other staff
- Keep office doors locked from the inside to protect against entry by unauthorised staff and members of the public
- Don't leave paperwork, documentation and records lying around where they may be visible to others
- Keep 'private' and 'confidential' files locked.

Establish back up schedules

It is imperative that there are designated times when back-ups take place.

Back-up schedules may include:

- Backing-up electronically on a daily, weekly or monthly basis
- Usually prescribed in organisational procedures/system operational procedures.

Back-up considerations

Considerations when backing up accounting data includes:

- Storing back-ups in secure and designated locations
- Ensuring accessibility of backed-up information
- Protecting integrity of system information
- Complying with internal audit requirements
- Complying with internal security requirements.

Golden rules to backing up data

A simple way to minimise the loss of financial information is to have three versions:

- Original
- Back up of the original
- Back up of the back up.

In addition it is vital to have back up versions stored in different secure locations.



Methods to back up data

Following are common methods used to back up valuable accounting data includes:

- Off-site storage of hard-copy documents
- Online storage services
- Consolidate data on different PC's to one centralised point
- External hard drives
- Using backup software.



Activity 20 – Identify online accounting storage services

Conduct research and identify a suitable online storage service to store your business accounting data.

Identify the advantages of using an online storage service.



Provide a summary of the online storage service you feel is most appropriate for your organisation.

Name of online storage service	
Advantages / key features	
Disadvantages	
Costs	

Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

3.1 & 3.2 please complete the following activities relating to this Performance Criteria:

- Activities 18,19,20

Summary

Back-up systems

Follow system back-up schedules precisely

Verify back-ups

- Establishing accounting data management
- Types of accounting data management policies and procedures
- Considerations when selecting an accounting storage and back-up systems
- Storing accounting data
- Methods to store accounting data
- Perform regular backups of accounting data
- Establish back up schedules
- Back-up considerations
- Methods to back up data.

Element 4:

Monitor and review integrity of financial systems

4.1 Establish processes to regularly monitor financial systems

Introduction

All businesses will use some form of financial system. Whether it is paper based, electronically based, or a combination of both, it is important that the system is created to meet the needs of the organisation.

Regularly monitored to ensure that it meets the needs of the both internal and external needs and compliance requirements.

In this section we will explore:

- Establishing financial systems
- Processes in monitoring financial systems.



Establishing financial systems

The accounting or financial system involves the collection of source documents, records, procedures, management policies and data processing methods used to transform data from activities and events into financial information that can be relied upon for management decision-making.

Financial management involves the following procedures and processes:

- Book-keeping - recording daily financial data
- Reporting - using book-keeping records to produce Statements of Financial Performance, Financial Position and Cash Flows
- Analysing and interpreting the reports so as to identify and overcome problems, and effectively plan and control the operations of the business in the future.

It is essential to closely monitor and control the following:

- Sales, costs and profit
- Internal control
- Pricing decisions
- Cash flow
- Performance compared with budget
- Stability – short term and long term.

Operational areas requiring financial systems

Each travel and tourism establishment will have different structures to meet the needs of their operations and the types of products and services they provide to their customers.

Regardless of the organisational structure established, it is essential that financial information is captured and assessed in relation to every unit within the business.

Segments of an organisation

Financial systems are required to record and monitor the actions all business units. Logical element or segment of a company are called:

- Business units
- Departments
- Cost centres.



Each unit has its specific company functions. The summation of the financial statements of all business units should add up to the financial statements of the company.

Types of business units

Examples of such business units may be related to:

- Outlets
- Geographical offices
- Specific sales related areas
- Types of customers / market segments
- Accounting
- Production
- Marketing
- Human resources
- Sales and marketing.



Consider compliance requirements

It is important that any financial system meets necessary compliance requirements. These may be internally or externally driven. Therefore is vital that systems comply with relevant management requirements and host country regulations.

Whilst every organisation is different, compliance requirements include, but not limited to:

- Organisational policies and procedures
- Authority levels
- Classification systems
- Cost centre definitions
- New expenditure accounts
- Reinsurance returns
- Audit trails.



Internal control systems

One of the most important functions of management is to efficiently use and protect the assets of the business. In a smaller business, such as an independent tourism operator, the owner is usually always present and performs this function themselves. In larger establishments, this becomes impractical and the owner must rely on others to help manage and control operations. The system designed to help managers is an internal control system.

The Internal control system can be defined as a system of procedures and forms established in a business to safeguard its assets and ensure the reliability of accounting information. It consists of all the measures used by a business to:

Safeguard its assets

- This objective focuses on the protection of assets from theft and inefficiencies. For example, cash is kept in secure storage. Fixed assets should be maintained so that they are in good working order.



Promote efficient operations

- Efficiency is maximised by ensuring that policies from staff recruitment through to technology to support business functions are reviewed and new efficient methods adopted as appropriate.

Maintain accurate and reliable accounting records

- Financial data must be carefully recorded and processed so that the reports produced by the system are relied upon for accuracy and completeness to assist external and internal users of reports monitor and evaluate business performance.

Encourage and promote compliance with business policies and government regulations

- This objective is an important characteristic of an internal control system and is monitored by regular internal and external reviews. These reviews are called audits and assess the extent to which internal control procedures are followed. In doing so, they also provide an independent verification of the financial records.

Management responsibilities

- It is the responsibility of management to ensure that the internal control system meets any legal requirements set down by government bodies. These may cover requirements for the preparation of financial statements or require owners to give an opinion in the annual report.



The need for controls

- Because the flow of information in a business is constant, different departments of different people will need to access the same information. Controls must be in place to ensure that the information remains secure and *accurate*.

Structure of the internal control system

An internal control system includes the control environment, the information system and internal control policies and procedures. It is important to highlight that this relates to the entire organisation. The system can be classified into two main types being administrative controls and accounting controls.

Administrative controls

These are systems and procedures that are established to encourage and promote adherence to policies and provide efficiencies in operation. One of the foundations of an effective internal control system that falls under this category is an organisation chart. This shows the structure of a business and establishes levels of authority, responsibility and lines of communication. Generally, the larger the tourism establishment, the more complex the organisation chart.

Examples of other administrative controls are:

- Written procedures for recruitment and hiring staff
- A system of authorisation and responsibility
- General operational policy and procedure guidelines
- Manuals identifying sales and purchases procedures
- Details of performance reports from employees.



Accounting controls

Accounting or financial controls refer to procedures put in place to meet the following objectives and are the focus of this unit of study. It is necessary in an effective internal control system that accounting controls are designed to provide reasonable assurance that these objectives are met.

Objective	Description
Financial records are complete	All transactions are recorded and any omissions are prevented
Financial records are valid	All recorded transactions are “real” and properly authorised
Financial records are accurate	Transactions are properly valued, errors are minimised and records are classified correctly and kept in a timely manner
Adequate safeguards	Ensure that all assets are properly safeguarded against loss, theft and are maintained appropriately
Accountability	Ensure all staff are assigned clear responsibility through clearly defined job descriptions and duties

Principles of internal control systems

To ensure adequate levels of administrative and financial controls and therefore an effective internal control system, there are some basic principles that to consider. The actual control measures implemented are affected by the size and nature of the business and management's view on the combination of controls that are most appropriate.

Following are some of the more important principles and is followed by the application of these principles to establishments in the hospitality and tourism industries.

Establish clear lines of responsibility and supervision

In some capacity in all organisations, individuals carry out business transactions, record the transactions and manage the assets resulting from activities and events. An important aspect of an effective internal control system is to employ or hire competent, trustworthy people. This begins with good procedures for screening and selecting appropriate people. Responsibilities of the position should match the ability and authority of the person employed. For example, when hiring managers, people with appropriate management skills should be selected and employed.

It is also necessary for employees to have a clear understanding of the responsibilities of their role. This begins with the organisation chart. It then extends to specific tasks or duties such as receiving food supplies, counting cash at the end of a shift or accepting payment for an accommodation bill.

Responsibilities should be assigned so that there are no overlapping or undefined tasks. Imagine a cash register where two members of staff are responsible for the cash contents. If there are problems, it is difficult to determine the error and therefore take corrective action. The internal control system is better when a task is restricted to one employee at one time.

Policies and procedures for training also support employees to understand and perform the responsibilities of their role appropriately. This covers training when staff are first employed, both in organisational policies and in specific tasks as well continuing development of skills and evaluation. Training can be occur within or external to the establishment.

Part of the internal control system is also management supervision. Management must continually observe operations as no internal control system can always safeguard against the likelihood of theft, fraud or ineffective operational practices.

Responsibilities and duties should also be rotated amongst employees, wherever possible and for appropriate periods. This gives employees the opportunity to be familiar with the entire system and gain a better understanding of the relationships between inputs, processing and outputs. It also encourages employees to carry out tasks according to policies and procedures since they know someone else will soon be taking over and possibly reviewing their activities.

Separate or divide the responsibility for related transactions



To minimise the possibility of errors, theft or fraud, responsibility for related transactions should be separate so as the work of one employee is verified or acts as a check on the work of another. This is not two employees carrying out the same task but two different employees carrying out two different control functions. This ensures that no single person has too much control over the assets of the business.

One common example in a tourism establishment that illustrates this point is the responsibility for ordering goods, receiving goods and paying for the goods received. This responsibility sits in the purchasing area. Separating these tasks to individual employees minimises the opportunity for any one employee to order and receive goods for their own use but authorise the business to make payment.

Separate record keeping and control of assets

One of the more important principles of internal control is to separate the functions of recording information about assets and the actual control of the assets. For example, when a cashier is responsible for a sales register and therefore cash sales in the department for their shift, they should not be responsible for entering the transactions in the cash receipts journals in the accounting system. This minimises theft and contributes to ensuring that financial records are valid, accurate and complete.

Prepare written procedures

Once procedures have been established in all areas of an organisation and for each job or role where control is needed, these procedures should be documented. This is particularly important in the hospitality industry where employee turnover is high. Employees should always be able to access these documents so that they know what the policies and procedures are.

It is very difficult to establish a set of procedures that will fit every possible situation in the hospitality and tourism industry because there is such a wide variety of types, sizes and styles of establishments. Even in two establishments that appear similar, management policy, the type of customer or other reasons means the procedures for any particular control area differs.



Documentation procedures

Documents provide the basis for determining activities and events that have occurred throughout an organisation. Tickets for tours must be numbered. These documents and others that are similar should be pre-numbered whenever possible. In this way, individual documents can be tracked and prevents the same document form being used more than once. When pre-numbered documents are used, the employee receiving the document should sign it to acknowledge responsibility and accountability.

Forms and reports also form part of the documentation of in an organisation. They are often used to provide management with information about different aspects of the business so that performance can be reviewed, evaluated and revised when necessary. Usually the accounting department or personnel are responsible for designing forms and reports in consultation with appropriate management.



The accounting department or person is also responsible for designing, ordering, storing and issuing all pre-numbered and other documents. This is to ensure that documents are used appropriately. The sequence of all numbered documents is checked regularly to ensure none are missing.



Activity 21 – Identify procedures used in a financial system

You are required to identify three procedures that exist or you would implement as part of a financial system for a tourism organisation.

TYPE OF PROCEDURE	EXPLANATION

Set standards and evaluate results



Another important principle for an effective internal control system is to have a reporting system that indicates whether all aspects of the business are operating properly. As part of the written guidelines given to employees about how to perform specific tasks in their role, standards of performance should also be established.

A common standard of performance in the tourism industry relating to revenue is sales and regarding costs is gross and net cost percentages.

By setting a standard, manager's performance and the performance of the establishment are evaluated against that standard.



Activity 22 – Identify standards used in a financial system

You are required to identify categories and examples of standards within these categories that exist or you would implement as part of a financial system for a tourism organisation.

Some examples have been added to guide your responses.

CATEGORY OF STANDARD	EXAMPLES OF STANDARDS
Revenue	Tour sales Merchandise sales
Expenses	
Productivity	

Maintain adequate insurance

Insurance is a guarantee that is purchased to provide monetary compensation for loss, damage or theft of an organisation's assets. If assets are fully insured, they can be recovered or replaced and continue to contribute to the profit making capabilities of the business. Insurance can also cover a loss of profits if there is a delay in replacing assets.

Implementing internal controls

With the principles and objectives of internal controls in mind as well as the particular challenges for businesses in the hospitality and tourism industry, processes should be developed for both the financial and administrative functions of the business that satisfy internal control requirements.

Administrative controls refer to the organisational structure, authorisation, performance standards and employee policies and procedures. It is beyond the scope of this unit of study for you to explore each of these in detail.



Activity 23 – Identify control methods

You are required to identify methods, policies or procedures that can be used to control the following financial activities.

FINANCIAL ACTIVITY	METHODS, POLICIES OR PROCEDURES TO CONTROL
Control of cash	
Control of cash receipts	
Control of cash payments	
Control of petty cash payments	
Control of cash budgets	
Control of accounts receivable	
Control of credit policies	
Control of purchases	
Control of payroll	
Control of inventory	
Control of fixed assets	

Monitoring financial performance

One of the most important features of a financial system that needs to be established is methods you will use to accurately assess the performance of a tourism operation based on the financial data compiled in the financial system.

Interpretation of financial information is required to measure the success or otherwise of trade for the period in question and to plan future action.

Financial analysis is also referred to as:

- Financial statement analysis
- Accounting analysis
- Analysis of finance.

It refers to an assessment of a company's, business unit's or project's viability, stability and profitability.



Financial analysis is usually performed by professionals who prepare reports using ratios calculated using the information extracted from financial statements and other reports.

Categories for monitoring financial performance

Financial performance exists at different levels of the organisation. This page is mostly concerned with measuring the financial performance of the organisation as a whole, and of measuring the performance of key projects.

Traditionally, financial performance measures are split into the following categories:

- Profitability
- Liquidity / working capital
- Gearing
- Investor ratios.

Steps to monitor financial performance

To monitor actual and planned financial results for a given time period, department manager, general managers and owners depending on the size of the organisation will be provided with appropriate reports from the financial system that summarise both the actual and planned financial information.

The steps commonly associated with financial analysis include:

- Select financial analysis method - see next page
- Conduct financial analysis
- Identify significant variances
- Determine the cause of significant variances
- Take corrective action as required.



Methods to monitor financial performance

The methods chosen for monitoring financial performance are generally built into the planning process. It is a good idea when planning to keep in mind the reporting on the success or otherwise of goals. It is frustrating to set a goal but not be able to say whether or not it has been achieved.

There are many tools or methods available to monitor financial performance including, but not limited to:

- Financial analysis methods:
 - Horizontal
 - Vertical
 - Ratios
- Key performance indicators
- Customer feedback
- Compliance reports
- Employee feedback
- Using a pretend customer
- Walking about the premises and observing what takes place
- Use of checklists
- Brainstorming sessions
- Observation
- Surveys
- Checklists
- Flowcharts
- Benchmarking.





Activity 24 – Identify methods to monitor financial performance

Identify various financial activities that need to be monitored. For each activity list the method that you will use to monitor its financial performance.



FINANCIAL ACTIVITY	METHOD OF MONITORING FINANCIAL PERFORMANCE

Managing financial systems

Now that we have looked at the considerations when establishing financial systems it is essential that we take it one step further and focus on the need to monitor on the financial systems themselves to ensure that not only do the systems in place provide accurate data but the information produced is able to meet the needs and requirements of both internal and external stakeholders.



Processes to regularly monitor financial systems may include:

- Ensuring reliability of the systems
- Ensuring integrity of the systems.

Part of the responsibilities of managers and owners in maintaining financial systems is to ensure that:

- Transactions are processed in accordance with management policies
- Transactions are recorded in a manner that reflects appropriate accounting policies
- Financial reports can be prepared based on appropriately recorded transactions
- Access to assets is appropriately authorised
- Recorded assets are compared to existing assets at regular intervals and the values monitored.



Importance of managing financial systems

To meet that responsibility, it is essential that the financial system be constantly monitored to ensure that best practices are maintained, procedures are adapted to reflect changes and corrective action is taken where necessary.

This includes:

- All the internal control measures used by a business to safeguard its assets and ensure the reliability of accounting information
- The inputs to the system – the transactions summarising the activities and events that have occurred
- Processing transactions that result in appropriate categories for classification to meet reporting requirements
- The outputs of the system – the financial reports required to meet internal and external requirements.

Generally, organisations will agree on particular cyclical periods to conduct formal monitoring such as monthly, quarterly, bi-annually and annually. This is usually directed towards the internal control system and the outputs of the financial system and depends on the size and scope of the business. These two aspects are discussed in this section.

There are also procedures that management implement as part of day-to-day operations that enable constant supervision and review of financial data when it is entered and processed into the financial system.



Stakeholders involved in managing financial systems

Financial or accounting systems transform data from activities and events that have occurred in an organisation into financial information that can be relied upon internally by managers and owners to evaluate operational performance and make decisions.

Also external parties such as government departments or financial institutions or any other parties interested in the profitability, strategy or operations of the business can rely on the financial information the system provides.

Therefore it is important to involve all relevant stakeholders in the monitoring and evaluation process.



Activity 25 – Identify stakeholders

You are required to identify the stakeholders you would involve in monitoring the financial system for a tourism organisation.

These stakeholders may be internal or external to the company.

You are required to identify what expertise or information you seek from each stakeholder as part of the monitoring process.

INTERNAL / EXTERNAL STAKEHOLDER	EXPERTISE / INFORMATION SOUGHT

Conducting internal audits

An internal audit provides a review of the operating and accounting controls within an establishment to ensure that internal control procedures are being followed and assets are adequately safeguarded.

This assists managers to monitor the financial system by verifying that forms, records and reports are reliable or may reveal that improvements to tasks or procedures should be made.

In smaller tourism organisations, internal audits are the responsibility of the general manager. In larger establishments, accounting personnel conduct internal audits. Sometimes larger organisations will have an internal audit department, generally based in one location, which travel to all owned establishments and conduct the internal audit.

The size and scope of the business and the internal control measures usually determines the frequency in which internal audits are conducted, with at least once a year being the minimum policy. For example, in smaller organisations, the owner is often present and carries out many of the financial activities.

Very few internal controls are probably required and therefore an internal audit to monitor them would be infrequent. However, in larger establishments that feature multiple services such as a resort, operations are organised into departments and internal controls are extensive. Internal audits would be frequent and perhaps scheduled to rotate through the functional areas twice or three times per year. Each workplace will detail their own internal audit policy that you would be expected to know.

The process of an internal audit can be broken down into five key steps that are applicable for all organisations. These are discussed briefly below.

Management meeting

Management and internal auditor personnel meet to confirm the scope, timelines and other requirements for the audit. Any particular area of operations or procedures within any area of operations that may be of concern to management for any reason are discussed and included in the tasks for the audit. Any changes to the operation of the financial system such as a change to procedures within the cash sub-system are also highlighted in this meeting.

Identify internal controls

As part of planning the internal audit, audit personnel refer to the policy and procedures manual that details all the internal control measures management have implemented. Any changes since the last internal audit will be documented as part of this manual. The systems and procedures that are to be evaluated are reviewed, discussed and the audit plan finalised.

For example these areas may be subject to audit each time an internal audit is conducted due to the frequency of transactions:

- Daily sales, allowances, cash and credit transactions, including pricing and commissions
- Purchasing, ordering and receiving goods and services
- Payroll and labour costs.
- Compliance with external regulations
- Computer system controls
- Controls over fixed asset expenditure.



Evaluate internal controls

Once the audit plan is established and agreed, auditors can begin the task of evaluating the internal controls. An audit trail exists in every internal control system that documents each transaction through the stages or phases of the financial system - input, processing and output.

Internal auditors follow the trail, checking that procedures are followed and forms, reports or other documents are used as intended. It is important to note that internal auditors test a sample of transactions to evaluate the internal control procedure. This will usually represent a proportion of the total transactions that management believe will verify that the system is reliable.

Assess outcomes

If the auditors find that a procedure is not followed or documents are not used as detailed in the procedures manual, a record of the transaction and the details are noted. This requires internal auditors to assess the impact on internal controls of the deviation and note this for management. It might appear to employees from one department that a particular task can be carried out differently but may not realise that this has a detrimental impact on another part of the system. Internal auditors would be expected to note an example such as this.



When a significant deviation from procedures is found, internal auditors may expand the number of transactions reviewed to check if the incident is isolated or indicative of a potential internal control issue. This occurs if it is thought that the deviation threatens the reliability of accounting information or the safeguarding of assets.

Final evaluation

At the completion of the internal audit, an audit report is prepared for management. This outlines the strengths, weaknesses, actions and follow-up procedures from the internal audit. This is an important document for managers as it serves to provide evidence that they are fulfilling the responsibility of ensuring the reliability of financial information.

Any actions that recommend changes to internal controls are discussed carefully between managers and auditors. As appropriate, input from those employees who perform the tasks is also sought. When changes are agreed, the policy and procedure manual is adjusted to reflect the new procedure, any forms or reports altered and the internal audit report updated.



Activity 26 – Identify internal audit requirements

You are to required to identify the different aspects of a financial system that you would wish to audit as for a tourism organisation.

ASPECT TO BE AUDITED	KEY OBJECTIVE OF AUDITING ASPECT	WHO IS TO AUDIT THIS ASPECT?



4.2 Identify variations from organisational policies and procedures

4.3 Assess variations from organisational policies and procedures

Introduction

Once accounting policies and procedures of the business have been developed and approved for implementation it is useful to develop a monitoring and adherence process to examine the level of compliance with these requirements.

Definition of accounting policies

Accounting policies are rules in which accounting activities will be guided by. They should reflect management values and function as guidelines for all financial staff. Accounting policies are normally based around laws, general accounting principles, compliance issues and taxation.



Definition of accounting procedures

Accounting procedures dictate how companies record and report their financial information. As mentioned they are normally based around accepted accounting principles. These principles provide companies with basic understanding of how to record information for internal and external business use.

Accounting policies often are paired with procedures. Policies are statements and procedures are specific steps to carry out the policies. For example, a policy could be to pay vendors within 30 days of invoice receipt; a procedure could be to date-stamp each invoice as it arrives and to pay it within the 30-day period. Another procedure could be to enter invoices into the computer system as they arrive and pay them within a couple of weeks, as long as it is within the 30-day policy.

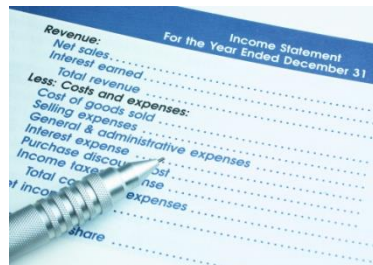


Categories of accounting activity

Whilst each organisation will have their own specific policies and procedures, they are normally prepared for various categories of accounting activities.

Categories in which policies and procedures may be created include:

- Revenue recognition
- Matching of revenues and expenses
- Fixed assets and depreciation
- Collection and use of data
- Preparing of financial reports
- Cash disbursements
- Capital acquisitions
- Supplies, services, and other invoices
- Invoice payment
- Payroll
- Cash receipts
- Ledger reconciliations
- Bank reconciliations
- End of month accounting
- End of year accounting
- Cost allocations
- Investments
- Debt
- Internal controls
- Financial audits
- Compliance
- Budgeting
- Data security
- Computer access and back up
- Use of accounting forms and templates
- Access to records and records retention
- Taxation forms and compliance
- Personnel records
- Maintenance of accounting policies and procedures manual
- Preparation of information
- Asset inventory.





Activity 27 – Identify accounting policies and procedures



For six of the categories of financial activity mentioned above, you are required to identify a policy or procedure that you would implement.

CATEGORY OF FINANCIAL ACTIVITY	POLICY	PROCEDURE

Importance of monitoring adherence to policies and procedures

Every business should assess the extent to which its established accounting policies and procedures are being implemented in order to:

- Ensure consistency in the operation of the business – in its collection, use and documentation of financial data, the way in which financial issues are addressed, day-to-day operational tasks
- Policies and procedures will have been developed in such a way that adherence to them produces the most consistent, accurate and reliable result, is most cost-effective, is most time effective and delivers financial information to the standards required by the organisation
- Ensure adherence to internal requirements – so systems which have been established within the business integrate with each other and support total service delivery as well as provide required management information
- Ensure compliance with policy and procedure requirements – this is to verify all legal requirements are being met, all compliance requirements are being addressed and all other codes, rules, regulations are being observed
- This aspect of the monitoring process simply checks to determine the extent to which approved policies and procedures are actually being followed and implemented by staff
- It seeks to discover the extent of compliance and identify those who are or are not implementing the requirements
- Praise adherence to policies and procedures – so staff are acknowledged for their implementation of policies and procedures, as required
- This recognition reinforces their actions, serves as further motivation to them and encourages others to do likewise
- Remedial action to be taken where necessary – where there is evidence policies and procedures are not being implemented as intended, options for action include:
 - Talking to staff about non-compliance – with the hope a simple conversation will result in enhanced levels of compliance
 - Training or re-training – especially where staff indicate they were unaware of the policies and procedures or did not know about them in full
 - Re-writing a policy or procedure which does not seem to be working or which, despite genuine efforts, is unable to be implemented by workers
 - Disciplinary action – as a last resort, there may be a need to dismiss staff for failing to comply with what is required.



Strategies to ensure accounting policies and procedures are being followed

The following procedures can be applied to help ensure compliance with accounting policies and procedures:

- Involve accounting staff in the initial development of the policies and procedures – so they become familiar with them from the outset and have a better understanding of why they have been developed and why they are required
- Explain and disseminate the policies and procedures once they have been developed and approved – this can occur in meetings convened specially for the purpose where copies of the documents are distributed and then carefully and fully explained
- Any procedures requiring it should also be accompanied by appropriate demonstration, including an introduction to accounting software
- Where the policy or procedure requires the completion of paperwork, this too should be shown and its completion explained
- Make a full copy of all accounting policies and procedures available for ready-reference by staff – this is usually achieved by preparing several 'Policy manuals' and 'Procedures manuals' and making them available in the staff room as well as in departments or the offices of department heads
- Regularly used policies or procedures should be included in a dedicated distribution to all accounting staff when employed
- Include 'policies and procedures' as part of your standard in-house accounting training – this will ensure every staff member becomes aware of the requirements, how to comply and what is required from an operational perspective
- Provide every new accounting staff member with a copy of the policies and procedures applicable to their work role as part of their Induction – this will ensure they have immediate access to, and basic knowledge about their requirements. This basic knowledge will, of course, be supplemented by the required in-house training
- Develop checklists for posting at work stations – where standard procedures are required for certain tasks it is a good idea to develop a series of short-form procedures (known as checklists) to be posted at the relevant work stations so operational staff have constant access to the basic requirements of every job to which a standard procedure applies
- Consistent mention of the need to adhere to policies and procedures by supervisors. The need to implement all policies and procedures as set down by the business should be a constant topic at every staff meeting and several briefings
- The supervisor may elect to raise this topic by mentioning an infraction which has been noted, praising a staff member for an instance of compliance noticed, or by presenting a quick one minute review of a nominated policy or procedure
- Personal observation of staff practices – to identify specific instances of compliance, to note variations and to identify areas where policies and procedures seem to be ineffective.



Monitoring compliance with accounting policies and procedures

It is important for all accounting managers to monitor that their staff are complying with accounting policies and procedures.

Some methods to monitor this compliance are identified below.

Observing current practice

This requires managers knowing what the policies and procedures are. Therefore it is essential that they read and understand them first before any observations take place.

Armed with this knowledge and with copies of the policies and procedures, they can then observe what is happening in the workplace and compare it to the existing official protocols.

When observing current workplace practice, managers must:

- Take notes – to record observation in detail and to use as a reference
- Record actual details – times and dates, processed, name of accounting documents being used, financial transaction or activity being performed
- Observe at different times – for example, observation should cover:
 - Busy times and slow times
 - Different financial transactions
 - Different accounting tasks
 - Different financial reports and documents.

Discussions with staff and other stakeholders

This is a vital aspect of monitoring compliance and to get feedback on why activities happened a certain way or to get feedback for future improvements.

The process of involving staff and stakeholders will be discussed in the next section.



Dealing with variations to accounting policies and procedures

In this context a variation is an instance where staff have failed to comply with the requirements of the accounting policy or procedure for the activity they were engaged in.

The variation may be deliberate or accidental; it may be a failure to follow guidelines, a failure to complete a necessary document, or a failure to implement a stated activity or process.

Anything not aligning with the stated policy or procedure is a variation.

At the same time staff are informed about the need to comply with policies and procedures they should also be made aware of the potential consequences of variations. It is not acceptable to have a structure on place for dealing with variations and not inform staff about this.

Every time a variation is noticed it must be dealt with. No identified variation should ever be allowed to go un-addressed. If staff notice you have noted a variation and then failed to act on your observation you will be sending them a message failure to comply is acceptable. And it is not.

Supervisors and managers should have the discretionary power for dealing with variations and are expected to use good judgement and common sense about how they respond to each variation observed.

They will therefore be expected to take into account issues such as:

- The level of trade at the time
- The experience of the worker
- Their intention – was their non-compliance deliberate or not?
- The situation and the context that applied at the time
- Did they know about the policy/procedure?

Dealing with variations

The possible ways to address variations can include:

- Verbally mentioning the issue and advising as to how compliance may be achieved in the future
- Providing coaching or training on-the-spot as required to bring the staff member up to speed
- Providing a copy of the policy/procedure which was at the centre of the variation and explaining it in detail
- A formal verbal warning about the non-compliance
- A written warning regarding the non-compliance
- Dismissal.



Activity 28 – Identify accounting variations and actions

You are to required to identify two examples of variations to accounting policies and procedures that may take place, including causes, method of identifying the variance and possible actions you could take to rectify the variance.

TYPE OF VARIATION	CAUSE OF VARIATION	METHOD OF IDENTIFYING VARIATION	ACTION TO RESOLVE VARIATION

4.4 Encourage user feedback

Introduction

Encouraging user and other stakeholder feedback is an essential aspect of determining if the accounting policies and procedures in place are suitable and also to get constructive feedback of what needs to be changed for future success.

Given that accounting staff are using financial systems on a daily basis, their feedback and suggestions are instrumental in ensuring that the best accounting practices are being used.

Managers should encourage accounting staff to develop and contribute innovative ideas and inputs into how the accounting system can be improved.

This signals management's recognition of staff as valuable members of the organisation in the overall work process, rather than just as operational staff.

It also underlines the importance of communication in the workplace. There is little point in team members having great ideas or suggestions for improving accounting structures of systems if they believe their input will not be appreciated or considered.



In addition there will be other vested stakeholders who can impact and influence accounting systems and processes used. It is vital that a cross section of feedback be sought when trying to determine the best accounting systems and practices to implement.

In Section 5 of this section we will explore the steps associated with updating accounting systems.

The feedback from users and other stakeholders will be an instrumental part of this process.

Types of users and stakeholders

These can be a wide range of persons including:

- Users
- Management and supervisors
- Head Office
- Owners
- Finance committees
- Financial accountants
- Government agencies – who have relevancy to and involvement in your industry sector
- Peak Industry bodies and associations
- Similar establishments within your sector with whom you have developed a professional 'working relationship'
- Investors and shareholders
- External consultants with specific expertise.



Importance of involving users and stakeholders

Input should be sought from the above cross-section of users and stakeholders in order to obtain what is known as '360° feedback'.

This approach seeks to ensure the views of everyone involved are addressed and their issues are at least considered, even though they may not be acted on.

The 360° approach introduces balance into the establishment of policies and procedures and helps avoid a situation where management sets policies and procedures independently of those internally and externally on whom they will have an effect.

This process:

- Ensures they are involved
- They have the chance to contribute
- Provides feedback on current strategies and approaches
- Aims to understand:
 - If existing policies and procedures working?
 - What policy and procedure areas require attention, and why?
 - What is the current practice?
 - What problems are caused by a lack of policies and procedures, or by out-of-date policies and procedures?
- Identifies what others do in terms of 'Best Practice' and compliance with legislation, financial practices and general industry standards
- Determines what policies and procedures other organisations have in place, can identify the relevance and types of policies and procedures that should be used
- Create policies and procedures that are acceptable to as many users and stakeholders as possible
- Ensure no important information is missed
- Aids decision making in relation to policies and procedures by taking a consensus view of what is required
- Obtains a final accounting system reflecting the wishes, needs and expectations of as many stakeholders as possible consistent with the goals of business and the legal requirements imposed on the business.



Activities associated with gathering user and stakeholder feedback

Activities associated with collecting user feedback may include:

- Reviewing feedback received
- Determining impact on the financial systems
- Identifying action to be taken
- Soliciting input from appropriate personnel
- Recording feedback received for future use or reference.



Methods to encourage user and stakeholder input

Examples of ways in which managers can provide ongoing input into ways to improve accounting systems include:

- Asking for ideas – encouraging staff to make suggestions about better ways of doing things
- Having an 'open door' policy regarding suggestions
- Sharing ideas – encouraging others to alert team members to the potential of new practices
- Being prepared to test new ideas – this demonstrates management is prepared to try new ideas as opposed to insisting the old ones are adhered to
- Seeking information and ideas from non-traditional places – such as other departments or other venues (including the competition)
- Thanking people for their contributions
- Taking the time and effort to explain to someone who contributed an idea why their idea was not implemented – as opposed to appearing to simply ignore the suggestion
- Ensuring the person responsible for suggesting an effective new approach receives the credit for doing so – rather than their manager taking the credit.





Activity 29 – Identifying users and stakeholders

You are required to identify the users and stakeholders in which you would seek feedback on when determining the best accounting systems and practices for a tourism organisation.

USER/STAKEHOLDER	TYPES OF FEEDBACK SOUGHT	METHOD OF COLLECTING FEEDBACK



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

4.1 Please complete the following activities relating to this Performance Criteria:

- Activities 21,22,23,24,25,26

4.2 & 4.3 Please complete the following activities relating to this Performance Criteria:

- Activities 27,28

4.4 Please complete the following activities relating to this Performance Criteria:

- Activity 29
-

Summary

Monitor and review integrity of financial systems

Establish processes to regularly monitor financial systems

- Establishing financial systems
- Operational areas requiring financial systems
- Consider compliance requirements
- Internal control systems
- Structure of the internal control system
- Principles of internal control systems
- Implementing internal controls
- Monitoring financial performance
- Managing financial systems
- Conducting internal audits.

Identify variations from organisational policies and procedures

Assess variations from organisational policies and procedures

- Definition of accounting policies
- Definition of accounting procedures
- Categories of accounting activity
- Importance of monitoring adherence to policies and procedures
- Strategies to ensure accounting policies and procedures are being followed
- Monitoring compliance with accounting policies and procedures
- Dealing with variations to accounting policies and procedures.

Encourage user feedback

- Types of users and stakeholders
- Importance of involving users and stakeholders
- Activities associated with gathering user and stakeholder feedback
- Methods to encourage user and stakeholder input.

Element 5:

Update systems for management requirements and regulations

5.1 Calculate estimates of costs associated with changes

Introduction

In the previous sections we have explored a range of financial accounting management practices that can be implemented in a tourism organisation.

In Section 4 we explored the process of monitoring and reviewing the integrity of the financial system currently being used. As a result of this process, it may be beneficial and more effective to use a new financial system or to upgrade an existing version.

There are significant time and resource issues, including the cost to change and the time needed to learn the new system that will impact on the decision.

In this section we will explore the processes used in the careful selection of the best financial system to suit an organisation.



Selecting the best financial systems, including relevant accounting software for a tourism business is a critical business.

For the purpose of this section the term 'financial system' relates to both hardware and accounting software.

Importance of stakeholder involvement

It is important that when changes are being considered to a financial system, that all decisions are carefully thought through, with all relevant stakeholders, to ensure that not only is everyone comfortable with the process used, but have had the opportunity to discuss and contribute ideas to the best financial system to use.

By following this principle all stakeholders will have a level of ownership and responsibility in ensuring the final system is implemented and used in a successful manner.

These stakeholders can include:

- System users - the people using the systems as part of their daily activities. They need the system to be user-friendly, logical and efficient
- System managers – those supervising the system users. The managers must understand the financial information and reporting needs required by senior managers and relevant stakeholders and then be able to guide and direct system users about how to effectively use the system

- System stakeholders – these stakeholders are found thorough the organisation including outlet managers and supervisors. They rely on the reports, summaries and other data generated by the system to make decisions and to manage their teams. The stakeholders may not necessarily understand accounting fundamentals, but they do require the information supplied by the systems.
- Purchasing decision makers – these are the people who must give final approval to acquire the system. Typically this group includes representatives from Information Systems (IS), accounting, and the management team.
- Financial and IT team – these are the people who will be responsible for system installation and ongoing operation and maintenance.



Reasons to change or update financial systems

It is important to identify the reasons why a financial system needs to be updated or replaced. This will guide often help in identifying the system requirements and help pinpoint the most suitable system.

Reasons to change or update financial systems include, but not limited to:

- Company is growing - either in one location or to new locations
- Current systems seem out-dated
- Financial information and reports are not adequate
- Internal requirements aren't being met
- System is not identifying theft, wastage and other cost problems
- Business processes have changed
- Greater need for an integrated e-business software package.



Overriding needs of a new or updated financial systems

It is important that regardless of the financial system purchased that it easily integrates with existing business practices and adapts to technological innovations.

Ideally, financial systems selected should be simple to use, intuitive, and closely matched to existing accounting systems and processes.

It is vital that a financial system selected:

- Embraces industry-standard technology quickly and easily
- Can customise easily to fit the special needs of the tourism organisation
- Enables flexibly to new IT paradigms
- Can meet any future changes of an organisation.

Required outputs of a financial system

In essence the key outputs required from a financial system include:

- Information for management decision-making - spreadsheets, custom reports
- Information for cash flow planning / forecasting – sales orders, purchase orders
- Billing and accounts receivable
- Inventory control
- General ledger
- Payroll
- Word processing.



Estimating costs of new or updated financial systems

Naturally the major concern when deciding on a new or updated financial system is to determine the costs associated with the new or revised purchase.

The activities associated with determining costs include:

- Undertaking cost-benefit analysis
- Calculating opportunity costs
- Determining infrastructure considerations
- Determining training costs for staff
- Identify non-cost related decision criteria
- Assessing cost-effectiveness.



Consider budget requirements

Naturally the greatest influence in purchasing or upgrading financial systems will be the budget. The financial system that a business may purchase is often limited by the budget available. Management will determine the level of funding available for a financial system and make an amount available through its budgets. There is no doubt that budget is one of the biggest obstacles to obtaining required financial system components.



Activity 30 – Impact of budgets

Discuss the impact of budget on obtaining computer assets for the business.

Making efficient use of budget resources

Using budget resources efficiently can be construed in different ways and where there is an expectation that you make efficient use of budget resources you must clarify what this phrase means to those who are going to sit in judgement on your actions.

To some, efficient use of budget resources simply means acquiring a financial system within given budget restrictions. If you come in under budget, you have been efficient.

To others, efficient use of budget resources can involve consideration of:

- The total cost allied to the purchase of a financial system
- The effectiveness of the financial system in the actual workplace situation – looking at how well the item performs the job it was bought to do.



Undertake a cost-benefit analysis

An accepted way of ensuring realistic financial system expenditure is to undertake a cost-benefit analysis in relation to the system that is to be purchased.

A cost-benefit analysis is a common requirement in many organisations for all expenditure over a stated amount.

The cost-benefit analysis considers the costs and related benefits associated with purchasing or updating a financial system and allows a mechanism where various alternatives can be compared against each other with a view to identifying the single most beneficial purchasing option for the business.



The cost-benefit analysis is a wide-ranging analysis that takes into account tangible and intangible factors associated with the purchase, and attaches a dollar value to each identified tangible and intangible cost and benefit.

Identify all costs

When considering the costs associated with a purchase, issues that may require attention can include:

- Purchase price – including all parts and add-ons, options, taxes, delivery fees
- Opportunity cost – this is the cost to the business of spending money in one area meaning it can't spend that money in another area (the opportunity to do so is lost once the dollars have been spent)
- Cost of finance, where applicable – including fees and charges, interest rates, penalties for late payment
- Testing or compliance costs – it would be foolish to purchase equipment that was not tested before it was shipped to the buyer
- Transportation costs – equipment which is usually large in size may limit transportation options and even require special rigging to secure safety and security during transportation

- Site preparation costs – the site must be prepared for incoming equipment including alterations to infrastructure and office design
- Installation costs – is installation included in the cost of the equipment?
- Make-ready costs – installation and pilot runs that go beyond installation costs. Period testing plus minor to major adjustments
- Tooling, parts and suppliers – although considered as a secondary expense, these items can be costly and not part of the initial costs of maintenance
- Spare parts costs – what is the cost associated with spare parts, are they available, lead time for them and is that cost included in the purchase price?
- Training costs – replaced equipment will require minimal operator training. New equipment may require training the operators fully on maintenance and breakdown
- Cost of power and consumables to keep the item operational
- Service and maintenance costs
- Insurance costs for the new item
- Cost of adapting existing systems and procedures to accommodate the new purchase
- Lost sales caused by interruption to normal business
- Reduced levels of earnings while staff learn the new item
- Depreciation.



Identify all benefits

Benefits relating to the purchase of a new item may relate to:

- Greater efficiency – in producing more accurate, tailored and timely financial reports
- Better decision-making capabilities
- Improved cash flow
- More accurate information
- More control
- The ability to adapt to growth
- Higher levels of earnings/revenue – which can relate to increased speed of identifying financial strengths and areas of poor financial performance
- Labour savings – obtained where the system increases productivity
- Sale value of any equipment that is being disposed of to make way for the new item.

The dollar values attached to costs and benefits will either be:

- Fact/evidence-based – calculated on known statistics, costs, quotes, historical records, advice from suppliers
- Estimates – based on an intimate knowledge of the industry, the business and the item in question.

The keys to any effective cost–benefit analysis are:

- All costs must be identified and quantified in dollar terms
- All benefits must be identified and quantified in dollar terms
- All purchasing options must be subjected to a thorough cost–benefit analysis
- All cost–benefit analyses must be compared to determine the most effective option.



It is important to note there are sometimes situations where, despite extensive cost–benefit analysis and despite all relevant research and investigation, a purchasing decision is made based on some other criterion.

For example, the owner of a business may simply have a personal preference for a certain supplier, brand or option and no end of statistics, evidence, etc. will change their mind.



Activity 31 – Conduct a cost-benefit analysis

Based on the financial system required for your organisation, you are required to undertake a cost-benefit analysis.

IDENTIFY COSTS

Please identify possible types of costs, including an approximate monetary value for the cost.

You may use an excel spreadsheet to detail all the costs relating to the purchase of a computer system.



Type of cost	Monetary value for the cost

IDENTIFY BENEFITS

Please identify all the possible benefits associated with the purchase of a new financial system.

Type of benefit	Monetary value of the benefit



Identify non-cost related considerations

Not all decisions will be based on a strict cost -benefit analysis. For most companies there will be a range of non-cost related considerations that will influence on the final decision.

These include, but not limited to:

- Types of hardware and software components required
- Transition from old to new systems
- Speed of installation
- Ease of use
- Transfer of existing data to new system
- Customisation of financial data and reports
- Amount of training required
- Technical support provided
- E-business capabilities
- Capacity
- Reporting capabilities
- Ease of input
- Data validation
- Error handling
- Security.



Identify financial system training needs and costs

Any financial systems and software, regardless of how well they are designed, are not going to be used in an efficient manner if all relevant users are not properly trained to use it.

People are the key to the success of any financial systems and accounting software program.

Comprehensive training is essential and provides the information, practice, and involvement needed to get the most out of the financial system.

Before staff are required to use new computer systems it is vital that all staff competent in not only the functions associated with the system but also in being able to access and interpret information which is contained within.



As can be seen when undertaking any activity on a computer system being able to locate, identify, interpret, use or provide information to tailor and improve guest service in a timely manner is essential.

In essence for staff must be proficient in the use of a computer system requires two things:

- An understanding of what can be done, why it is done, and when it should be done, and
- Practice in applying that knowledge and understanding to the system.

When identifying the costs associated with a new financial system it is vital to identify and determine:

- The knowledge and skills to be trained
- Method to train staff
- Costs associated with training.

Financial system knowledge and skills to be trained

Before staff can perform specific skills they must have general knowledge and skills to operate a computer system and its associated hardware and software.

Their staff must be trained in:

- Range of operational and accounting functions that can be controlled by the system
- Common operational entries, including encodes and decodes
- Mandatory fields
- Applying access codes
- Interpreting and using on-screen prompts to determine required information
- Interpreting and applying on-screen abbreviations, acronyms and options
- Completing required fields
- Describing the field and menu links available between screens
- Responding to system-related queries
- Generating invoices, accounts, folios and statements and distributing them as required
- Generating and distributing relevant reports to other system users.



Types of financial system training

There are a number of ways for staff to become familiar with general and specialised computer systems knowledge and skills include, but not limited to:

- Participating in formal training which may be provided by the property or by the software supplier
- Utilisation of dedicated training software
- Reading the User's manual
- Observing and listening to an experienced operator
- Asking questions about what is happening and why things are done the way they are
- Writing your own notes
- On-going coaching and mentoring to enhance your competency once the basics have been mastered.



Activity 32 – Identify financial system training

You are required to outline five financial system training courses that you would conduct to help staff become familiar with a financial system.

Identify the methods most suited to train staff and potential costs of conducting the training.



Topic of training	Key points to learn	Training method	Potential costs of training

Research and select appropriate financial system

Now that you have identified the requirements, costs, benefits and non-cost related considerations relating to a possible new or upgraded financial system, it is now time to:

- Identify hardware and software needs
- Research different suppliers
- Identify key features
- Identify competitive advantage
- Identify costs.





Activity 33 – Identify financial systems hardware and software

You are required to conduct research and identify the financial hardware and software assets you would implement and use for a tourism organisation.

You may wish to refer to Activity 14 as a reference of accounting software options.



TYPE OF HARDWARE/ SOFTWARE	SUPPLIER/NAME	KEY FEATURES	COMPETITIVE ADVANTAGE	COST

5.2 Plan changes and updates to systems

Introduction

Now that all financial system purchasing decisions have been made, it is now time to prepare for its implementation.

Naturally the greater the degree of change to hardware and software will have a greater impact on staff, ranging from greater anxiety to lower productivity.

Over time the implementation of the financial system will make the job of tourism staff easier, however it is important that not only management understand the short term concerns but also to let staff know they acknowledge these concerns and are there to help them.

Planning for the implementation of a new financial system is essential to ensure all aspects relating to the proposed actions have been considered, planned and have clear plans for implementation.

This section will explore some of the activities associated with the implementation of a new financial system.



Financial system implementation considerations

When implementing a new financial system there are a number of considerations including but not limited to:

- Identify all implementation actions to be taken
- Allocation of responsibilities for action to nominated persons
- Determination of accountability for actions taken
- Timelines for completion of nominated actions
- Compliance requirements
- Arranging arrival and security of financial system
- Timing of new system assets to be implemented
- Saving information from old system assets
- Removal, storage and sale of old system assets
- Arranging location and physical layout of new assets
- Unpacking and installing new financial system
- Timing issues
- Resources
- Aligning new financial system to existing structures, hardware and software systems
- Integration with other aspects of the business
- Adding information to new financial system
- Changes to policies and procedures



- Documentation & record keeping
- Impact on organisational culture
- Anticipation of problems
- Training for staff to become knowledgeable and productive with new financial system.

Communicate implementation actions

Like with any change, it is vital that everyone who will be impacted by the introduction of a financial system understands what is taking place as part of the implementation, how it will affect them and what they need to do.

It is important that everyone knows what is expected of them. In these times of uncertainty everyone must be aware of the roles each person plays.

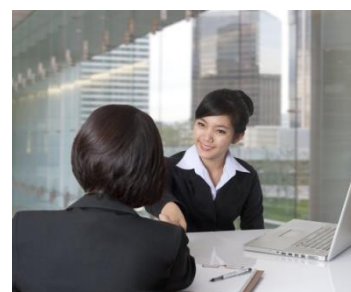
As mentioned, the greater the degree of change to a financial system, the greater the need to clearly communicate roles and responsibilities.

If only small asset changes are taking place, this process may be very minimal with little change or impact on staff.

This is essential to ensure that key aspects of the implementation are not only communicated with all concerned but also understood by them.

These aspects can therefore include:

- Reasoning or purpose behind the changes to the financial system
- Identification of the key changes that are taking place
- Identification of how the new financial system will benefit them
- Start dates of implementation
- Expected completion dates
- How the implementation will be implemented
- Activities to be performed
- Resources required to implement the plan
- Work breakdown
- Involvement of other staff
- Roles and responsibilities of staff
- Pre-change activities including attending meetings, reading job descriptions etc.
- Timelines for implementation
- Training activities that will take place
- Support mechanisms
- Expected standard of performance
- Milestones for completion
- Budgets to work within



- Methods of communication
- Making observations and providing feedback.



Activity 34 – Communicating financial system implementation plan

Briefly describe how you could communicate the implementation of a new financial system to staff.



Staff / stakeholders	Information to be communicated

5.3 Test systems' updates

Introduction

Once we have introduced financial systems, it is important to undertake a test of the system. This is important to ensure that the system elements are running as intended.

This focus is essential during the introduction new or upgraded financial upgrade elements as it enables any problems to be resolved with minimal stress, damage or lost productivity or data resulting.

Initial activities must be tested to find out:

- What is being done correctly
- What needs improvement, by identifying causes and remedy?



Once all new or upgraded elements have been installed, tested and efficiently operating, naturally the focus and depth of monitoring will reduce.

Purpose of testing new or updated financial systems

Testing of your financial system is vital. Manually or electronically entering data into a test database on your new system gives you the chance to evaluate critical processes and review vital reports for accuracy.

Think of testing as a practice for when the system goes live. Verifying data integrity, running queries and comparing reports in the new software with those from your old system are just a few safeguards gained by testing. By performing a test any issues can be identified and corrected before going live.

The purpose of testing new or upgraded systems includes, but not limited to ensuring:

- Hardware is installed, in correct quantity and working correctly
- Software is successfully installed
- New or upgraded system elements are integrated with existing system
- Financial information has been transferred correctly between systems
- No financial data has been lost
- System functions are operating as intended
- System changes reflect changed requirements
- Unanticipated flow-on effects from the changes and updates have been identified and addressed
- Staff are familiar with functions - see example on next page
- Staff can identify and resolve problems - see example on next page
- Any staff issues or concerns are addressed
- Staff can input financial information to produce desired outputs
- Outputs, such as reports, are produced in its desired format in a timely manner
- Future actions, including further changes, are identified.



Activity 35 – Identify methods to test implementation of new or upgraded financial system



Briefly describe how you could test the implementation of new or upgraded financial system.

TEST AREA	KEY POINTS TO TEST	METHOD TO TEST
EXAMPLES		
Staff familiar with functions	• Can perform key tasks • Can explain reason for undertaking tasks • Can explain process and sequencing of tasks	• Demonstration • Discussion
User resolving problems	• Can identify problems • Can identify causes of problems • Can identify steps/actions to resolve problems	• Demonstration • Discussion
Hardware is installed, in correct quantity and working correctly		
Software is successfully installed		
New or upgraded system elements are integrated with existing system		
Financial information has been transferred correctly between systems		

TEST AREA	KEY POINTS TO TEST	METHOD TO TEST
No financial data has been lost		
System functions are operating as intended		
System changes reflect changed requirements		
Any staff issues or concerns are addressed		
Staff can input financial information to produce desired outputs		
Outputs, such as reports, are produced in its desired format in a timely manner		
Future actions, including further changes, are identified		



5.4 Ensure changes and updates are comprehensive and maintain the integrity of accounting system

Introduction

Now that the test of new and updated financial systems have been conducted, it is now time to review the success of the test and identify if the new changes meet the original requirements that it was purchased and implemented to achieve.

In this section we will explore the steps associated with reviewing the success of the new or updated system, as a result of the initial test, and to identify any changes that need to be made to the system.

Importance of reviewing system implementation test

The primary reasons reviewing the implementation test are to:

- Understand the general success of the implementation test
- Identify outcomes of the test including milestones reached
- Gather feedback from stakeholders
- Identify areas which worked well, were effective and successful
- Identify areas which failed, were ineffective or were unacceptable
- Identify reasons and details of unintended or unanticipated consequences or outcomes – both positive and negative
- Identify areas for improvement.



Reviewing financial system test

The effectiveness of a financial system is often the most significant determinant of whether the right decision was made. By conducting an initial test, management is able to get a good understanding of how effective the financial system will be.

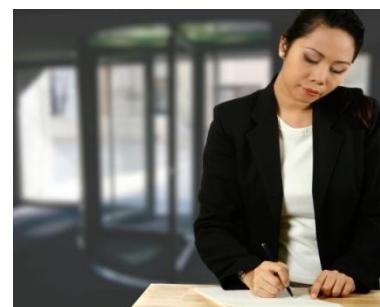
The activities associated with determining the effectiveness of the financial system include:

Personal observation

As the test is conducted, personal observation will be the greatest guide in understanding the success of the implementation and the financial system itself.

Key questions guiding observation include:

- Is it working as expected?
- Is it integrating with other systems as intended?
- Are staff finding it easy to use?
- Does it appear appropriate?
- What changes need to be made?



Discussions with staff

These should be a combination of both formal and informal feedback from staff about the test itself and their ability to use the new financial system.

Questions guiding the discussion include:

- How does it perform?
- Is it easy and safe to use?
- What are the good and bad points about it?
- How does it compare to the previous system?
- Is it performing as they expected?
- What needs to be changed about it to improve it?



Discussions with suppliers

It is wise to discuss the results of the tests with suppliers or vendors for a number of reasons including:

- Understanding reasons for test results
- Ways to make system more efficient
- Identify solutions for problems that exist
- Get any queries answered
- Arrange follow up training, mentoring or support
- Tailor systems to required needs or changes.



Using other monitoring methods

There are many other tools or methods available to monitor the effectiveness of a new computer system including:

- Compliance reports
- Use of checklists
- Comparison of 'before' and 'after' statistics
- Surveys
- Checklists
- Flowcharts
- Benchmarking.





Activity 36 – Importance of reviewing tests

Briefly describe the importance of conducting a review process after an initial test has been carried out.



5.5 Apply changes

Introduction



Once the initial test and review process has taken place, there may be a number of changes that managers, software vendors, internal accounting teams or IT staff can make to ensure the financial system operates in a more effective manner.

Before any changes take place, it is important to be realistic and understand that implementation problems will take place

and identifying genuine problems that need addressing versus short term problems that will correct themselves.

In this section we will explore the purpose of applying changes and identifying when or when not changes need to take place.

Purpose of applying changes

The purpose of applying changes includes, but is not limited to:

- Resolving any identified problems
- Ensuring consistency of application across all systems
- Ensuring report information remains valid
- Monitoring the implementation of 'live operations'.

Types of changes to be made

There are a number of actions the above stakeholders may take before the financial system goes live.

Do nothing



In instances where problems may appear to be due to the degree of change rather than experiencing problems with the financial systems themselves, further time may be given before action is taken.

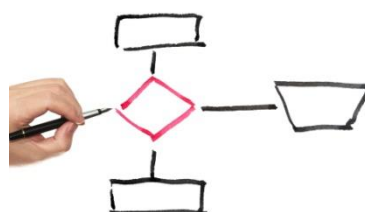
As with any new initiative, mistakes will take place, problems will arise and less than optimal output is a reality. Therefore time must be provided for everyone to become aware, comfortable and competent in the new system and its functions.

Make changes

Where the stakeholders feel that the problems may not be 'teething' issues, they may introduce a number of changes to help resolve problems that have arisen.

Common changes include, but not limited to:

- Retest system
- Reinstall software
- Ask vendor to make changes to software or provide support services
- Introduce new equipment
- Make changes to physical layout of equipment
- Corrective IT changes
- New policies
- Changes to workflow
- Changes to procedures
- Change of personnel structure
- Changes in job roles
- Establish comprehensive job descriptions and job specifications
- Further training for staff.



Activity 37 – Make changes

Identify a number of 'problems' that may occur during the introduction of new financial systems.

Identify one problem under each of the above mentioned types of actions and explain non-action or action to be taken and why.

DO NOTHING	
Problem	
Action to be taken	
Reasoning for action	

MAKE CHANGES

Problem	
Action to be taken	
Reasoning for action	



5.6 Circulate changed and/or updated relevant documentation

Introduction

Once all changes have been applied it is vital that all relevant stakeholders understand the changes that have taken place and receive any updated information or documents that may help facilitate the change.

Communicating variations and updated information

The communication of variations and updated information may take place in various ways.

The key to communicating these changes is the communication must be planned.

Your approach should follow these guidelines:

- Hold a formal staff meeting to inform stakeholders of the changes – if they have been actively involved in the planning process then the concept should not come as anything new to them
- Explain the results of the financial system test
- Explain why changes have been made
- Explain the changes to be introduced
- Give them a hard copy of documents to help explain and follow changes including:
 - Brochures and specification sheets
 - Operational manuals
 - Copies of standards
 - Copies of policies
 - Copies of procedures
- Explain the changes – tell them how the ‘new’ processes differs from those conducted in the test
- Encourage questions about the changes – answer them fully and honestly
- Make yourself available outside this meeting to talk to if they have concerns regarding the changes.





Activity 38 – Explain importance of communicating changes

You are required to explain why it is important to communicate any changes to staff in a timely manner.

What are the possible consequences if staff are not informed of the changes?



Work Projects

It is a requirement of this Unit you complete Work Projects as advised by your Trainer. You must submit documentation, suitable evidence or other relevant proof of completion of the project to your Trainer by the agreed date.

5.1 Please complete the following activities relating to this Performance Criteria:

- Activities 30,31,32,33

5.2 Please complete the following activities relating to this Performance Criteria:

- Activity 34

5.3 Please complete the following activities relating to this Performance Criteria:

- Activity 35

5.4 Please complete the following activities relating to this Performance Criteria:

- Activity 36

5.5 Please complete the following activities relating to this Performance Criteria:

- Activity 37

5.6 Please complete the following activities relating to this Performance Criteria:

- Activity 38
-

Summary

Update systems for management requirements and regulations

Calculate estimates of costs associated with changes

- Importance of stakeholder involvement
- Reasons to change or update financial systems
- Overriding needs of a new or updated financial systems
- Required outputs of a financial system
- Estimating costs of new or updated financial systems
- Consider budget requirements
- Making efficient use of budget resources
- Undertake a cost–benefit analysis
- Identify non-cost related considerations
- Identify financial system training needs and costs
- Financial system knowledge and skills to be trained
- Types of financial system training
- Research and select appropriate financial system.

Plan changes and updates to systems

- Financial system implementation considerations
- Communicate implementation actions.

Test systems' updates

- Purpose of testing new or updated financial systems.

Ensure changes and updates are comprehensive and maintain the integrity of accounting system

- Importance of reviewing system implementation test
- Reviewing financial system test.

Apply changes

- Purpose of applying changes
- Types of changes to be made.

Circulate changed and/or updated relevant documentation

- Communicating variations and updated information.

Presentation of written work

1. Introduction

It is important for students to present carefully prepared written work. Written presentation in industry must be professional in appearance and accurate in content. If students develop good writing skills whilst studying, they are able to easily transfer those skills to the workplace.

2. Style



Students should write in a style that is simple and concise. Short sentences and paragraphs are easier to read and understand. It helps to write a plan and at least one draft of the written work so that the final product will be well organised. The points presented will then follow a logical sequence and be relevant. Students should frequently refer to the question asked, to keep 'on track'. Teachers recognise and are critical of work that does not answer the question, or is 'padded' with irrelevant material. In summary, remember to:

- Plan ahead
- Be clear and concise
- Answer the question
- Proofread the final draft.

3. Presenting Written Work

Types of written work

Students may be asked to write:

- Short and long reports
- Essays
- Records of interviews
- Questionnaires
- Business letters
- Resumes.



Format

All written work should be presented on A4 paper, single-sided with a left-hand margin. If work is word-processed, one-and-a-half or double spacing should be used. Handwritten work must be legible and should also be well spaced to allow for ease of reading. New paragraphs should not be indented but should be separated by a space. Pages must be numbered. If headings are also to be numbered, students should use a logical and sequential system of numbering.

Cover Sheet

All written work should be submitted with a cover sheet stapled to the front that contains:

- The student's name and student number
- The name of the class/unit
- The due date of the work
- The title of the work
- The teacher's name
- A signed declaration that the work does not involve plagiarism.

Keeping a Copy

Students must keep a copy of the written work in case it is lost. This rarely happens but it can be disastrous if a copy has not been kept.

Inclusive language

This means language that includes every section of the population. For instance, if a student were to write 'A nurse is responsible for the patients in her care at all times' it would be implying that all nurses are female and would be excluding male nurses.

Examples of appropriate language are shown on the right:

Mankind	<i>Humankind</i>
Barman/maid	<i>Bar attendant</i>
Host/hostess	<i>Host</i>
Waiter/waitress	<i>Waiter or waiting staff</i>

Recommended reading

Alfredson, Keith & Ernst & Young; 2009 (2nd edition); *Applying international financial reporting standards*; John Wiley & Sons

Andrew, William P & Schmidgall, Raymond S; 2007 (1st edition); *Financial management for the hospitality industry*; Pearson Prentice Hall

Chatfield, Robert E & Dalbor, Michael C; 2009 (1st edition); *Hospitality financial management*; Pearson Prentice Hall

Cornett, Marcia Millon & Adair, Troy A; 2015 (3rd edition); *Finance: applications & theory*; New York McGraw-Hill Education

DeFranco, Agnes L & Lattin, Thomas W; 2007 (1st edition); *Hospitality financial management*; John Wiley & Sons

Futura Training 2008; (1st edition); *Manager's guide to hospitality financial management*; Futura Training

Guinding, Chris; 2013 (1st edition); *Accounting essentials for hospitality managers*; Abingdon, Oxon Routledge

Jagels, Martin & Ralston, Catherine E & Ebooks Corporation; 2007 (9th edition); *Hospitality management accounting*; John Wiley & Sons

Jiambalvo, James; 2013 (5th edition); *Managerial accounting*; Hoboken

Price, John Ellis & Haddock, M. David; 2015 (14th edition); *College accounting*; New York McGraw-Hill Education

Rayman, R. A; 2006 (1st edition); *Accounting standards : true or false?*; Routledge

Waybright, Jeffrey & Kemp, Robert S; 2015 (3rd edition); *Financial accounting*; Boston Pearson

Trainee evaluation sheet

Maintain a secure financial accounting system

The following statements are about the competency you have just completed.

Please tick the appropriate box	Agree	Don't Know	Do Not Agree	Does Not Apply
There was too much in this competency to cover without rushing.	☐	☐	☐	☐
Most of the competency seemed relevant to me.	☐	☐	☐	☐
The competency was at the right level for me.	☐	☐	☐	☐
I got enough help from my trainer.	☐	☐	☐	☐
The amount of activities was sufficient.	☐	☐	☐	☐
The competency allowed me to use my own initiative.	☐	☐	☐	☐
My training was well-organised.	☐	☐	☐	☐
My trainer had time to answer my questions.	☐	☐	☐	☐
I understood how I was going to be assessed.	☐	☐	☐	☐
I was given enough time to practice.	☐	☐	☐	☐
My trainer feedback was useful.	☐	☐	☐	☐
Enough equipment was available and it worked well.	☐	☐	☐	☐
The activities were too hard for me.	☐	☐	☐	☐

The best things about this unit were:

The worst things about this unit were:

The things you should change in this unit are:

Trainee self-assessment checklist

As an indicator to your Trainer/Assessor of your readiness for assessment in this unit please complete the following and hand to your Trainer/Assessor.

Maintain a secure financial accounting system

		Yes	No*
Element 1: Reconcile general ledger accounts			
1.1	Reconcile general ledger to subsidiary ledgers	☐	☐
1.2	Resolve outstanding items on reconciliation	☐	☐
1.3	Reconcile bank accounts and clear suspense accounts	☐	☐
1.4	Obtain authorisation and/or approval for completed reconciliation	☐	☐
Element 2: Reconcile general ledger to related systems			
2.1	Process related systems entries	☐	☐
2.2	Reconcile interfaces from related systems	☐	☐
2.3	Verify related systems to maintain integrity of the accounting systems	☐	☐
Element 3: Back-up systems			
3.1	Follow system back-up schedules precisely	☐	☐
3.2	Verify back-ups	☐	☐
Element 4: Monitor and review integrity of financial systems			
4.1	Establish processes to regularly monitor financial systems	☐	☐
4.2	Identify variations from organisational policies and procedures	☐	☐
4.3	Assess variations from organisational policies and procedures	☐	☐
4.4	Encourage user feedback	☐	☐

		Yes	No*
Element 5: Update systems for management requirements and regulations			
5.1	Calculate estimates of costs associated with changes	☐	☐
5.2	Plan changes and updates to systems	☐	☐
5.3	Test systems' updates	☐	☐
5.4	Ensure changes and updates are comprehensive and maintain the integrity of accounting system	☐	☐
5.5	Apply changes	☐	☐
5.6	Circulate changed and/or updated relevant documentation	☐	☐

Statement by Trainee:

I believe I am ready to be assessed on the following as indicated above:

Signed: _____

Date: _____

Note:

For all boxes where a **No*** is ticked, please provide details of the extra steps or work you need to do to become ready for assessment.

